

Audits of Less Complex Entities (LCEs)

Proportionality of the ISAs to the Draft Audit Standard

Parts 1 – 5 of the [Draft] Audit Standard

This document (“mapping”) has been provided to illustrate how the requirements from the ISAs have been included (or not) within the [draft] audit standard. It is not intended that the detailed ‘mapping’ included in this Agenda Item will be discussed at the December IAASB meeting.

1. In developing the [draft] audit standard the LCE Working Group “mapped” the objectives and requirements of the International Standards on Auditing (ISA) to the objectives and requirements within the [draft] audit standard, to illustrate the proportionality of the standard for an audit of an LCE.
2. This information is provided to illustrate how the specific requirements within the ISAs have or have not been addressed within the [draft] audit standard. There is also a brief supporting description with regard to how the ISAs align to the [draft] audit standard, grouped into four categories:
 - a) “Both standards are aligned”
 Indicating that the objectives and requirements in the relevant ISA and the [draft] audit standard are fully aligned.
 - b) “Addressed, but with alterations”
 Indicating the objectives and requirements in the relevant ISA are addressed in the [draft] audit standard, however there are notable differences or modifications, either to the wording or the requirement.
 - c) “Not addressed in the [draft] audit standard”
 Meaning there is no corresponding objective / requirement in the [draft] audit standard relative to the relevant ISA.
 - d) “Essential material”
 This category includes application material of the ISA which has been included in the [draft] audit standard (i.e., application material which is considered essential and presented in *italics* and highlighted in light blue in the [draft] audit standard).
3. Standards have been presented within this mapping document related to the Parts where they are first / most relevant (and then in ISA order). The mapping included in the table below in this Agenda Item includes ISAs most relevant to Parts 1-5 of the [draft] audit standard and covers the following ISAs:
 - Part 1—ISA 200¹ and ISA 220 (Revised)²

¹ ISA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing*

² ISA 220 (Revised), *Quality Control for an Audit of Financial Statements*

- Part 2— ISA 230,³ ISA 500,⁴ ISA 260 (Revised),⁵ ISA 520⁶ and ISA 530⁷
- Part 3—ISA 210⁸ and ISA 510⁹
- Part 4—ISA 300¹⁰ and ISA 320¹¹
- Part 5—ISA 315 (Revised 2019)¹²

Agenda Item 2-D includes the ‘mapping’ for the remainder of the ISAs most relevant to Parts 6-8 of the [draft] audit standard.

4. The ‘mapping’ in **Agenda Items 2-C and 2-D** (in the ISA column) reflect the recently approved ISA 220 (Revised) and conforming and consequential amendments to other standards as a result of ISA 540 (Revised)¹³, ISA 315 (Revised 2019), and the amendments to the IAASB Standards as a result of revisions made to the International Ethics Standards Board for Accountants’ (IESBA) Code.¹⁴
5. The objectives and requirements of ISA 402,¹⁵ ISA 600¹⁶ and ISA 620¹⁷ have not been mapped at this stage—the content of the [draft] audit standard is still being considered – see matters for discussion in Agenda Item 2 relating to these topics.
6. Further, the objectives and requirements of ISA 610 (Revised 2013)¹⁸ and ISA 701,¹⁹ have not been included as these ISAs are not covered by the [draft] audit standard.

³ ISA 230, *Audit Documentation*

⁴ ISA 500, *Audit Evidence*

⁵ ISA 260 (Revised), *Communication with Those Charged with Governance*

⁶ ISA 520, *Analytical Procedures*

⁷ ISA 530, *Audit Sampling*

⁸ ISA 210, *Agreeing the Terms of Audit Engagements*

⁹ ISA 510, *Initial Audit Engagements—Opening Balances*

¹⁰ ISA 300, *Planning an Audit of Financial Statements*

¹¹ ISA 320, *Materiality in Planning and Performing an Audit*

¹² ISA 315 (Revised 2019), *Identifying and Assessing the Risks of Material Misstatement*

¹³ ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

¹⁴ *International Code of Ethics for Professional Accountants (including International Independence Standards)* (“the IESBA Code” or “the Code”)

¹⁵ ISA 402, *Audit Considerations Relating to an Entity Using a Service Organization*

¹⁶ ISA 600, *Special Considerations – Audit of Group Financial Statements*

¹⁷ ISA 620, *Using the Work of an Auditor’s Expert*

¹⁸ ISA 610 (Revised 2013), *Using the Work of Internal Auditors*

¹⁹ ISA 701, *Key Audit Matters in the Independent Auditor’s Report*

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
ISA 200, Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing					
Effective Date	All ISA	Paragraph 1.1.1. Fundamental Concepts and General Principles Effective Date	Each ISA includes the effective date.	This standard is effective for audits of [financial statements / historical financial information] for periods beginning on or after [XXX].	Both standards are aligned
Objective	ISA 200 Paragraph 11	Paragraph 1.2.1. Fundamental Concepts and General Principles Overall Objectives of the Auditor	In conducting an audit of financial statements, the overall objectives of the auditor are: (a) To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and (b) To report on the financial statements, and communicate as required by the ISAs, in accordance with the auditor's findings.	The overall objectives of the auditor when conducting an audit of financial statements using this [draft] audit standard are to: (a) Obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, to enable the auditor to express an opinion on whether the financial statements are prepared, in all material respects in accordance with an applicable financial reporting framework; and (b) Report on the financial statements, and communicate as required by the [draft] audit standard, in accordance with the auditor's findings.	Both standards are aligned

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Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Objective	ISA 200 Paragraph 12	-	In all cases when reasonable assurance cannot be obtained and a qualified opinion in the auditor's report is insufficient in the circumstances for purposes of reporting to the intended users of the financial statements, the ISAs require that the auditor disclaim an opinion or withdraw (or resign) from the engagement, where withdrawal is possible under applicable law or regulation.	-	Not addressed in the [draft] audit standard but paragraph 8.5.6. of the [draft] audit standard addresses disclaimers of opinion
Requirements	ISA 200 Paragraph 14 Ethical Requirements Relating to an Audit of Financial Statements	Introduction Ethical Requirements Relating to an Audit of Financial Statements	The auditor shall comply with relevant ethical requirements, including those pertaining to independence, relating to financial statement audit engagements.	The auditor is subject to relevant ethical requirements, including those relating to independence, relating to financial statement audit engagements. Relevant ethical requirements ordinarily comprise the International Code of Ethics for Professional Accountants, Including International Independence Standards (Code of Ethics) related to an audit of financial statements together with national requirements that are more restrictive. This [draft] audit standard is premised on the basis that the auditor is complying with the Code of Ethics or to national requirements that are at least demanding.	Addressed, but with alterations The Ethical Requirements are included now in the Introduction to the [draft] audit standard.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 200 Paragraph 15 Professional Skepticism	Paragraph 1.3.9. Fundamental Concepts and General Principles Fundamental Concepts and General Principles for Performing the Audit <i>Professional Skepticism</i>	The auditor shall plan and perform an audit with professional skepticism recognizing that circumstances may exist that cause the financial statements to be materially misstated.	The auditor shall plan and perform the audit with professional skepticism recognizing that circumstances may exist that cause the financial statements to be materially misstated.	Both standards are aligned.
Requirements	ISA 200 Paragraph 16 Professional Judgment	Paragraph 1.3.13. Fundamental Concepts and General Principles Fundamental Concepts and General Principles for Performing the Audit <i>Professional Judgment</i>	The auditor shall exercise professional judgment in planning and performing an audit of financial statements.	The auditor shall exercise professional judgment in planning and performing the audit.	Both standards are aligned.
Requirements	ISA 200 Paragraph 17 Sufficient Appropriate Audit Evidence and Audit Risk	Paragraph 1.3.5. Fundamental Concepts and General Principles Fundamental Concepts and General Principles for Performing the Audit <i>Sufficient Appropriate Audit Evidence</i>	To obtain reasonable assurance, the auditor shall obtain sufficient appropriate audit evidence to reduce audit risk to an acceptably low level and thereby enable the auditor to draw reasonable conclusions on which to base the auditor's opinion.	To obtain reasonable assurance, the auditor shall obtain sufficient appropriate audit evidence to reduce audit risk to an acceptably low level at the financial statement and assertion level and thereby enable the auditor to draw reasonable conclusions on which to base the auditor's opinion.	Addressed, but with alterations
Requirements	ISA 200 Paragraph 18 Conduct of an Audit in Accordance with ISAs <i>Complying with</i>	Paragraphs 1.3.1. Fundamental Concepts and General Principles Fundamental Concepts and General Principles for Performing the Audit	The auditor shall comply with all ISAs relevant to the audit. An ISA is relevant to the audit when the ISA is in effect and the circumstances addressed by the ISA exist.	When an audit is performed in accordance with this [draft] audit standard, the auditor shall comply with all relevant requirements. A requirement is relevant when the circumstances addressed by the requirement exist.	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	<i>ISAs Relevant to the Audit</i>				
Requirements	ISA 200 Paragraph 19 Conduct of an Audit in Accordance with ISAs <i>Complying with ISAs Relevant to the Audit</i>	Paragraphs 1.3.3. Fundamental Concepts and General Principles Fundamental Concepts and General Principles for Performing the Audit	The auditor shall have an understanding of the entire text of an ISA, including its application and other explanatory material, to understand its objectives and to apply its requirements properly.	The auditor shall have an understanding of the entire text of this standard to understand its objectives and apply its requirements properly.	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard
Requirements	ISA 200 Paragraph 20 Conduct of an Audit in Accordance with ISAs <i>Complying with ISAs Relevant to the Audit</i>	Paragraphs 1.3.2. Fundamental Concepts and General Principles Fundamental Concepts and General Principles for Performing the Audit	The auditor shall not represent compliance with ISAs in the auditor's report unless the auditor has complied with the requirements of this ISA and all other ISAs relevant to the audit.	The auditor shall not represent that an audit was performed in accordance with this standard unless all applicable requirements have been met.	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard
Requirements	ISA 200 Paragraph 21 Conduct of an Audit in Accordance with ISAs Objectives Stated in Individual ISAs	Paragraph 1.2.2. Fundamental Concepts and General Principles Overall Objectives of the Auditor	To achieve the overall objectives of the auditor, the auditor shall use the objectives stated in relevant ISAs in planning and performing the audit, having regard to the interrelationships among the ISAs, to: (a) Determine whether any audit procedures in addition to those required by the ISAs are necessary in pursuance of the	To achieve the overall objectives, the auditor shall achieve the objectives in each Part of this [draft] audit standard. Because the circumstances of audit engagements vary widely and all such circumstances cannot be anticipated, the auditor shall determine whether procedures in addition to those required by this [draft] audit standard are required	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			objectives stated in the ISAs; and (b) Evaluate whether sufficient appropriate audit evidence has been obtained.	to achieve the objectives in each Part.	
Requirements	ISA 200 Paragraph 22 Conduct of an Audit in Accordance with ISAs Complying with Relevant Requirements	Paragraphs 1.3.1. Fundamental Concepts and General Principles Fundamental Concepts and General Principles for Performing the Audit	Subject to paragraph 23, the auditor shall comply with each requirement of an ISA unless, in the circumstances of the audit: (a) The entire ISA is not relevant; or (b) The requirement is not relevant because it is conditional and the condition does not exist.	When an audit is performed in accordance with this [draft] audit standard, the auditor shall comply with all relevant requirements. A requirement is relevant when the circumstances addressed by the requirement exist.	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard
Requirements	ISA 200 Paragraph 23 Conduct of an Audit in Accordance with ISAs Complying with Relevant Requirements	Paragraph 1.3.4. Fundamental Concepts and General Principles Fundamental Concepts and General Principles for Performing the Audit	In exceptional circumstances, the auditor may judge it necessary to depart from a relevant requirement in an ISA. In such circumstances, the auditor shall perform alternative audit procedures to achieve the aim of that requirement. The need for the auditor to depart from a relevant requirement is expected to arise only where the requirement is for a specific procedure to be performed and, in the specific circumstances of the audit, that procedure would be ineffective in achieving the aim of the requirement.	In exceptional circumstances, the auditor may judge it necessary to depart from a relevant requirement. In such circumstances, the auditor shall perform alternative procedures to achieve the aim of that requirement. The need for the auditor to depart from a relevant requirement is expected to arise only where the requirement is for a specific procedure to be performed and, in the specific circumstances of the audit, that procedure would be ineffective in achieving the aim of the requirement.	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 200 Paragraph 24 Conduct of an Audit in Accordance with ISAs Failure to Achieve an Objective	Paragraph 1.2.3. Fundamental Concepts and General Principles Overall Objectives of the Auditor Paragraph 7.2.6. Concluding The Auditor's Evaluations and Other Activities to Support the Conclusion <i>Concluding</i> Paragraph 7.9.5 Concluding Specific Documentation Requirements	If an objective in a relevant ISA cannot be achieved, the auditor shall evaluate whether this prevents the auditor from achieving the overall objectives of the auditor and thereby requires the auditor, in accordance with the ISAs, to modify the auditor's opinion or withdraw from the engagement (where withdrawal is possible under applicable law or regulation). Failure to achieve an objective represents a significant matter requiring documentation in accordance with ISA 230.	If the objective(s) of a particular part cannot be achieved, the auditor shall consider the effect on achieving the overall objective, for example the auditor may be required to: • Modify the auditor's opinion; or • Withdraw from the engagement. ***** If an objective of a particular Part within this standard cannot be achieved, the auditor shall evaluate whether this prevents the auditor from achieving the overall objectives of the auditor and thereby require the auditor to modify the audit opinion. ***** If applicable, the auditor shall document the failure to meet an objective of any Part of this [draft] audit standard, and the resulting action (such as the effect on the auditor's opinion or withdrawal from the engagement if the overall objective of the auditor cannot be met).	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard
Application Material	ISA 200 Paragraph A22	Paragraph 1.3.11. Fundamental Concepts and General Principles	-	<i>Professional skepticism is necessary to the critical assessment of audit evidence,</i>	Essential material

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		Fundamental Concepts and General Principles for Performing the Audit <i>Professional Skepticism</i>		and the auditor remains alert to, for example: • Audit evidence that contradicts other audit evidence obtained. • Information that brings into question the reliability of documents and responses to inquiries to be used as audit evidence. • Conditions that may indicate possible fraud. • Circumstances that suggest the need for audit procedures in addition to those required by this standard.	
Application material	ISA 200 Paragraph A26-A29	Paragraphs 1.3.14.-1.3.15. Fundamental Concepts and General Principles Fundamental Concepts and General Principles for Performing the Audit <i>Professional Judgment</i>	-	The exercise of professional judgment in any particular case is based on the facts and circumstances that are known to the auditor up to the date of the auditor's report, and decisions made by auditors whose training, knowledge and experience are appropriate to achieve reasonable professional judgments (i.e., the professional judgment reached reflects a competent application of auditing and accounting principles and is appropriate in the circumstances). Professional judgment needs to be appropriately documented.	Essential material

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Application Material	ISA 200 Paragraphs A31-A33	Paragraphs 1.3.6.-1.3.8. Fundamental Concepts and General Principles Fundamental Concepts and General Principles for Performing the Audit <i>Sufficient Appropriate Audit Evidence</i>	-	<i>Sufficiency is the measure of the quantity of audit evidence, and is affected by the auditor's risks of material misstatement (the higher the assessed risks, the more evidence is likely to be required) and also the quality of the evidence (the higher the quality, the less may be required). Obtaining more evidence, however, may not compensate if it is of poor quality.</i> <i>Appropriateness is the measure of the quality of the audit evidence, that is its relevance and reliability in providing support for the conclusions on which the auditor's opinion is based. The reliability of evidence is influenced by its source and by its nature, and dependent on the individual circumstances under which it is obtained.</i> <i>Whether sufficient appropriate audit evidence has been obtained to reduce audit risk to an acceptably low level, and thereby enable the auditor to draw reasonable conclusions on which to base the auditor's opinion, is a matter of professional judgment.</i>	Essential material

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
ISA 210, Agreeing the Terms of Audit Engagements					
Objective	ISA 210 Paragraph 3	Paragraph 3.1.1.(a) Acceptance or Continuance of an Audit Engagement and Initial Engagements Objective	The objective of the auditor is to accept or continue an audit engagement only when the basis upon which it is to be performed has been agreed, through: (a) Establishing whether the preconditions for an audit are present; and (b) Confirming that there is a common understanding between the auditor and management and, where appropriate, those charged with governance of the terms of the audit engagement.	The objectives of the auditor are: (a) To accept or continue an audit engagement only when the basis upon which it is to be performed has been agreed, through: (i) Establishing whether the preconditions for an audit are present; and (ii) Confirming that there is a common understanding between the auditor and management and, where appropriate those charged with governance, of the terms of the audit engagement. 	Both standards are aligned.
Requirements	ISA 210 Paragraph 6 Preconditions for an Audit	Paragraph 3.2.1. Acceptance or Continuance of an Audit Engagement and Initial Engagements Preconditions for an Audit	In order to establish whether the preconditions for an audit are present, the auditor shall: (a) Determine whether the financial reporting framework to be applied in the preparation of the financial statements is acceptable; and	In order to establish whether the preconditions for an audit are present, the auditor shall: (a) Determine whether the financial reporting framework to be applied in the preparation of the financial statements is acceptable;	Both standards are aligned.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			(b) Obtain the agreement of management that it acknowledges and understands its responsibility: (i) For the preparation of the financial statements in accordance with the applicable financial reporting framework, including where relevant their fair presentation; (ii) For such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; and (iii) To provide the auditor with: a. Access to all information of which management is aware that is relevant to the preparation of the financial statements such as records, documentation and other matters; b. Additional information that the auditor may request	(b) Obtain the agreement of management that it acknowledges and understands its responsibility: o For the preparation of the financial statements in accordance with the applicable financial reporting framework, including where relevant their fair presentation; o For such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; and o To provide the auditor with: ▪ Access to all information of which management is aware that is relevant to the preparation of the financial statements such as records, documentation and other matters;	

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			from management for the purpose of the audit; and c. Unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.	▪ Additional information that the auditor may request from management for the purpose of the audit; and ▪ Unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.	
Requirements	ISA 210 Paragraph 7 Limitation on Scope Prior to Audit Engagement Acceptance	Paragraph 3.2.2. Acceptance or Continuance of an Audit Engagement and Initial Engagements Preconditions for an Audit	If management or those charged with governance impose a limitation on the scope of the auditor's work in the terms of a proposed audit engagement such that the auditor believes the limitation will result in the auditor disclaiming an opinion on the financial statements, the auditor shall not accept such a limited engagement as an audit engagement, unless required by law or regulation to do so.	If management or those charged with governance impose a limitation on the scope of the auditor's work such that the auditor believes that the limitation will result in the auditor disclaiming the opinion on the financial statements, the auditor shall not accept such a limited engagement as an audit engagement, unless required by law or regulation to do so.	Addressed, but with alterations
Requirements	ISA 210 Paragraph 8 Other Factors Affecting Audit	Paragraph 3.2.3. Acceptance or Continuance of an Audit Engagement and Initial Engagements Preconditions for an Audit	If the preconditions for an audit are not present, the auditor shall discuss the matter with management. Unless required by law or regulation to do so, the	If the preconditions for an audit are not present, the auditor shall discuss the matter with management. Unless required by law or regulation to do so, the	Addressed, but with alterations (a) is not a requirement of ISA 210. In (b) reference to paragraph 19 is omitted as the entire section on "Additional considerations in

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	Engagement Acceptance		auditor shall not accept the proposed audit engagement: (a) If the auditor has determined that the financial reporting framework to be applied in the preparation of the financial statements is unacceptable, except as provided in paragraph 19; or (b) If the agreement referred to in paragraph 6(b) has not been obtained.	auditor shall not accept the proposed audit engagement: (a) If there are any threats to compliance with relevant ethical requirements (that have not been addressed by appropriate safeguards), including independence; (b) If the auditor has determined that the financial reporting framework to be applied in the preparation of the financial statements is unacceptable; or (c) If the agreement of management that it acknowledges and understands its responsibility has not been obtained.	engagement acceptance" is not part of the [draft] audit standard In last bullet reference to 6(b) is omitted
Requirements	ISA 210 Paragraph 9 Agreement on Audit Engagement Terms	Paragraph 3.3.1. Acceptance or Continuance of an Audit Engagement and Initial Engagements Terms of the Audit Engagement	The auditor shall agree the terms of the audit engagement with management or those charged with governance, as appropriate.	The auditor shall agree the terms of the audit engagement, in writing, with management or those charged with governance, as appropriate. 	Addressed, but with alterations The [draft] audit standard includes that the terms of the engagement need to be agreed <i>"in writing"</i>

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 210 Paragraph 10 Agreement on Audit Engagement Terms	Paragraph 3.5.2. Acceptance or Continuance of an Audit Engagement and Initial Engagements Specific Documentation Requirements	Subject to paragraph 11, the agreed terms of the audit engagement shall be recorded in an audit engagement letter or other suitable form of written agreement and shall include: (a) The objective and scope of the audit of the financial statements; (b) The responsibilities of the auditor; (c) The responsibilities of management; (d) Identification of the applicable financial reporting framework for the preparation of the financial statements; and (e) Reference to the expected form and content of any reports to be issued by the auditor; and (f) A statement that there may be circumstances in which a report may differ from its expected form and content.	The agreed terms of the audit engagement shall be recorded in an audit engagement letter or other suitable form of written agreement and shall include: (a) The objective and scope of the audit of the financial statements; (b) The responsibilities of the auditor; (c) The responsibilities of management; (d) Identification of the applicable financial reporting framework for the preparation of the financial statements; (e) Reference to the expected form and content of any reports to be issued by the auditor; and (f) A statement that there may be circumstances in which a report may differ from its expected form and content.	Addressed, but with alterations Reference to ISA 210 paragraph 11 is not included in the [draft] audit standard.
Requirements	ISA 210 Paragraph 11 Agreement on Audit	Paragraph 3.5.3. Acceptance or Continuance of an Audit	If law or regulation prescribes in sufficient detail the terms of the audit engagement referred to in paragraph 10, the auditor need not	If law or regulation prescribes in sufficient detail the terms of the audit engagement referred to in this standard, the auditor need not	Addressed, but with alterations Reference to ISA 210 Paragraph 10 and 6(b) not included in the [draft] audit standard, rather

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	Engagement Terms	Engagement and Initial Engagements Specific Documentation Requirements	record them in a written agreement, except for the fact that such law or regulation applies and that management acknowledges and understands its responsibilities as set out in paragraph 6(b).	record them in a written agreement, except for the fact that such law or regulation applies and that management acknowledges and understands its responsibilities.	reference is made to the terms of the audit engagement referred to in the [draft] audit standard.
Requirements	ISA 210 Paragraph 12 Agreement on Audit Engagement Terms	n/a	If law or regulation prescribes responsibilities of management similar to those described in paragraph 6(b), the auditor may determine that the law or regulation includes responsibilities that, in the auditor's judgment, are equivalent in effect to those set out in that paragraph. For such responsibilities that are equivalent, the auditor may use the wording of the law or regulation to describe them in the written agreement. For those responsibilities that are not prescribed by law or regulation such that their effect is equivalent, the written agreement shall use the description in paragraph 6(b).	n/a	Not addressed in the [draft] audit standard
Requirements	ISA 210 Paragraph 13 Recurring Audits	Paragraph 3.3.2. Acceptance or Continuance of an Audit Engagement and Initial Engagements Terms of the Audit Engagement	On recurring audits, the auditor shall assess whether circumstances require the terms of the audit engagement to be revised and whether there is a need to remind the entity of the existing terms of the audit engagement.	On recurring engagements, the auditor shall assess whether circumstances require the terms of the audit engagement to be revised and whether there is a need to remind the engaging party of the existing terms of engagements.	Both standards are aligned.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 210 Paragraph 14 Acceptance of a Change in the Terms of the Audit Engagement	Paragraph 3.3.3. Acceptance or Continuance of an Audit Engagement and Initial Engagements Terms of the Audit Engagement	The auditor shall not agree to a change in the terms of the audit engagement where there is no reasonable justification for doing so.	The auditor shall not agree to a change in the terms of the audit engagement where there is no reasonable justification for doing so.	Both standards are aligned.
Requirements	ISA 210 Paragraph 15 Acceptance of a Change in the Terms of the Audit Engagement	Paragraph 3.3.4. Acceptance or Continuance of an Audit Engagement and Initial Engagements Terms of the Audit Engagement	If, prior to completing the audit engagement, the auditor is requested to change the audit engagement to an engagement that conveys a lower level of assurance, the auditor shall determine whether there is reasonable justification for doing so.	If, prior to completing the audit engagement, the auditor is requested to change the audit engagement to an engagement that conveys a lower level of assurance, the auditor shall determine whether there is reasonable justification for doing so.	Both standards are aligned.
Requirements	ISA 210 Paragraph 16 Acceptance of a Change in the Terms of the Audit Engagement	Paragraph 3.3.5. Acceptance or continuance of an audit engagement Terms of the Audit Engagement	If the terms of the audit engagement are changed, the auditor and management shall agree on and record the new terms of the engagement in an engagement letter or other suitable form of written agreement.	If the terms of the audit engagement are changed, the auditor and management shall agree on and record the new terms of the engagement in an engagement letter or other suitable form of written agreement.	Both standards are aligned.
Requirements	ISA 210 Paragraph 17 Acceptance of a Change in the Terms of the Audit Engagement	Paragraph 3.3.6. Acceptance or continuance of an audit engagement Terms of the Audit Engagement	If the auditor is unable to agree to a change of the terms of the audit engagement and is not permitted by management to continue the original audit engagement, the auditor shall:	If the auditor is unable to agree to a change of the terms of the audit engagement and is not permitted by management to continue the original audit engagement, the auditor shall:	Both standards are aligned.

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			(a) Withdraw from the audit engagement where possible under applicable law or regulation; and (b) Determine whether there is any obligation, either contractual or otherwise, to report the circumstances to other parties, such as those charged with governance, owners or regulators.	(a) Withdraw from the audit engagement where possible under applicable law or regulation; and (b) Determine whether there is any obligation, either contractual or otherwise, to report the circumstances to other parties, such as those charged with governance, owners or regulators.	
Requirements	ISA 210 Paragraph 18 Additional Considerations in Engagement Acceptance <i>Financial Reporting Standards Supplemented by Law or Regulation</i>	n/a	If financial reporting standards established by an authorized or recognized standards setting organization are supplemented by law or regulation, the auditor shall determine whether there are any conflicts between the financial reporting standards and the additional requirements. If such conflicts exist, the auditor shall discuss with management the nature of the additional requirements and shall agree whether: (a) The additional requirements can be met through additional disclosures in the financial statements; or	n/a	Not addressed in the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			(b) The description of the applicable financial reporting framework in the financial statements can be amended accordingly. If neither of the above actions is possible, the auditor shall determine whether it will be necessary to modify the auditor's opinion in accordance with ISA 705.		
Requirements	ISA 210 Paragraph 19 Additional Considerations in Engagement Acceptance <i>Financial Reporting Framework Prescribed by Law or Regulation—Other Matters Affecting Acceptance</i>	n/a	If the auditor has determined that the financial reporting framework prescribed by law or regulation would be unacceptable but for the fact that it is prescribed by law or regulation, the auditor shall accept the audit engagement only if the following conditions are present: (a) Management agrees to provide additional disclosures in the financial statements required to avoid the financial statements being misleading; and (b) It is recognized in the terms of the audit engagement that: (i) The auditor's report on the financial statements will incorporate an Emphasis	n/a	Not addressed in the [draft] audit standard

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Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			of Matter paragraph, drawing users' attention to the additional disclosures, in accordance with ISA 706 (Revised); and (ii) Unless the auditor is required by law or regulation to express the auditor's opinion on the financial statements by using the phrases "present fairly, in all material respects," or "give a true and fair view" in accordance with the applicable financial reporting framework, the auditor's opinion on the financial statements will not include such phrases.		
Requirements	ISA 210 Paragraph 20 Additional Considerations in Engagement Acceptance <i>Financial Reporting Framework</i>	n/a	If the conditions outlined in paragraph 19 are not present and the auditor is required by law or regulation to undertake the audit engagement, the auditor shall: (a) Evaluate the effect of the misleading nature of the financial statements on the auditor's report; and	n/a	Not addressed in the [draft] audit standard

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Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	<i>Prescribed by Law or Regulation—Other Matters Affecting Acceptance</i>		(b) Include appropriate reference to this matter in the terms of the audit engagement.		
Requirements	ISA 210 Paragraph 21 Additional Considerations in Engagement Acceptance <i>Auditor's Report Prescribed by Law or Regulation</i>	n/a	In some cases, law or regulation of the relevant jurisdiction prescribes the layout or wording of the auditor's report in a form or in terms that are significantly different from the requirements of ISAs. In these circumstances, the auditor shall evaluate: (a) Whether users might misunderstand the assurance obtained from the audit of the financial statements and, if so, (b) Whether additional explanation in the auditor's report can mitigate possible misunderstanding. If the auditor concludes that additional explanation in the auditor's report cannot mitigate possible misunderstanding, the auditor shall not accept the audit engagement, unless required by law or regulation to do so. An audit	n/a	Not addressed in the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			conducted in accordance with such law or regulation does not comply with ISAs. Accordingly, the auditor shall not include any reference within the auditor's report to the audit having been conducted in accordance with ISAs.		
ISA 220 (Revised), Quality Management for an Audit of Financial Statements					
Objective	ISA 220 (Revised) Paragraph 11	Paragraph 1A.1.1. Engagement Quality Management Objectives	The objective of the auditor is to manage quality at the engagement level to obtain reasonable assurance that quality has been achieved such that: (a) The auditor has fulfilled the auditor's responsibilities, and has conducted the audit, in accordance with professional standards and applicable legal and regulatory requirements; and (b) The auditor's report issued is appropriate in the circumstances.	The objectives of the auditor are to manage audit quality at the engagement level such that: (a) The auditor has conducted the audit in accordance with professional standards and the applicable legal and regulatory requirements; and (b) The auditor's report is appropriate in the circumstances.	Addressed, but with alterations In the first paragraph from the objective reference to "obtain reasonable assurance that quality has been achieved" is omitted in the [draft] audit standard.
Requirements	ISA 220 (Revised) Paragraph 13 Leadership Responsibilities for Managing and Achieving	Paragraph 1A.2.2. Engagement Quality Management The Engagement Partner's Responsibilities	The engagement partner shall take overall responsibility for managing and achieving quality on the audit engagement, including taking responsibility for creating an environment for the engagement that emphasizes the firm's culture and expected behavior of engagement team members. In	The engagement partner shall take overall responsibility for managing and achieving quality on the audit engagement. In doing so, the engagement partner shall be sufficiently and appropriately involved throughout the audit engagement to determine that the significant judgments made and	Addressed, but with alterations

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	Quality on Audits		doing so, the engagement partner shall be sufficiently and appropriately involved throughout the audit engagement such that the engagement partner has the basis for determining whether the significant judgments made, and the conclusions reached, are appropriate given the nature and circumstances of the engagement.	conclusions reached are appropriate in the circumstances.	
Requirements	ISA 220 (Revised) Paragraph 14 Leadership Responsibilities for Managing and Achieving Quality on Audits	-	In creating the environment described in paragraph 13, the engagement partner shall take responsibility for clear, consistent and effective actions being taken that reflect the firm's commitment to quality and establish and communicate the expected behavior of engagement team members, including emphasizing: (a) That all engagement team members are responsible for contributing to the management and achievement of quality at the engagement level; (b) The importance of professional ethics, values and attitudes to the members of the engagement team; (c) The importance of open and robust communication within the engagement team, and supporting the ability of	-	Not addressed in the [draft] audit standard

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			engagement team members to raise concerns without fear of reprisal; and (d) The importance of each engagement team member exercising professional skepticism throughout the audit engagement.		
Requirements	ISA 220 (Revised) Paragraph 15 Leadership Responsibilities for Managing and Achieving Quality on Audits	Paragraph 1A.2.3. Engagement Quality Management The Engagement Partner's Responsibilities	If the engagement partner assigns the design or performance of procedures, tasks or actions related to a requirement of this ISA to other members of the engagement team to assist the engagement partner in complying with the requirements of this ISA, the engagement partner shall continue to take overall responsibility for managing and achieving quality on the audit engagement through direction and supervision of those members of the engagement team, and review of their work.	If the engagement partner assigns the design or performance of procedures, tasks or actions to other members of the engagement team, the engagement partner shall continue to take overall responsibility for managing and achieving quality through direction and supervision of the other members of the engagement team, and review of their work. The nature, timing and extent of direction, supervision and review is responsive to the nature and circumstances of the engagement.	Addressed, but with alterations The last sentence is from paragraph 30 of ISA 220 (Revised) (but with alterations) (does not include (a))
Requirements	ISA 220 (Revised) Paragraph 16 Relevant Ethical Requirements, including Those related to Independence	-	The engagement partner shall have an understanding of the relevant ethical requirements, including those related to independence, that are applicable given the nature and circumstances of the audit engagement.	-	Not addressed in the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 220 (Revised) Paragraph 17 Relevant Ethical Requirements, including Those related to Independence	Paragraph 1A.2.4. Engagement Quality Management The Engagement Partner's Responsibilities	The engagement partner shall take responsibility for other members of the engagement team having been made aware of relevant ethical requirements that are applicable given the nature and circumstances of the audit engagement, and the firm's related policies or procedures, including those that address: (a) Identifying, evaluating and addressing threats to compliance with relevant ethical requirements, including those related to independence; (b) Circumstances that may cause a breach of relevant ethical requirements, including those related to independence, and the responsibilities of members of the engagement team when they become aware of breaches; and (c) The responsibilities of members of the engagement team when they become aware of an instance of non compliance with laws and regulations	Throughout the audit engagement, the engagement partner shall: (a) Take responsibility for identifying, evaluating and addressing threats to compliance with relevant ethical requirements, including those related to independence that are applicable given the nature and circumstances of the engagement and the firm's policies and procedures; and (b) Remain alert, through observation, inspection of audit documentation and making inquiries as necessary, for evidence of non-compliance with relevant ethical requirements by members of the engagement team.	Addressed, but with alterations First Bullet addresses matters set out in paragraph 17 of ISA 220 (Revised) Second bullet is paragraph 19

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 220 (Revised) Paragraph 18 Relevant Ethical Requirements, including Those related to Independence	Paragraph 4.2.2. Planning Planning Activities	If matters come to the engagement partner's attention that indicate that a threat to compliance with relevant ethical requirements exists, the engagement partner shall evaluate the threat through complying with the firm's policies or procedures, using relevant information from the firm, the engagement team or other sources, and take appropriate action.	The auditor shall evaluate compliance with relevant ethical requirements, including independence. In doing so, the engagement partner shall evaluate any threats through compliance with the firm's policies or procedures using relevant information from the firm, the engagement team or other resources, and take appropriate action.	Addressed, but with alterations First part relates to ISA 300 para 6(b). Second part addresses para 18 of ISA 220 (Revised) (with alterations)
Requirements	ISA 220 (Revised) Paragraph 19 Relevant Ethical Requirements, including Those related to Independence	Paragraph 1A.2.4. Engagement Quality Management The Engagement Partner's Responsibilities	The engagement partner shall remain alert throughout the audit engagement, through observation and making inquiries as necessary, for breaches of relevant ethical requirements or the firm's related policies or procedures by members of the engagement team.	Throughout the audit engagement, the engagement partner shall: (a) Take responsibility for identifying, evaluating and addressing threats to compliance with relevant ethical requirements, including those related to independence that are applicable given the nature and circumstances of the engagement and the firm's policies and procedures; and (b) Remain alert, through observation, inspection of audit documentation and making inquiries as necessary, for evidence of non-compliance with relevant ethical requirements by	Addressed, but with alterations First Bullet addresses matters set out in paragraph 17 of ISA 220 (Revised) Second bullet is paragraph 19

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Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				members of the engagement team.	
Requirements	ISA 220 (Revised) Paragraph 20 Relevant Ethical Requirements, including Those related to Independence	n/a	If matters come to the engagement partner's attention through the firm's system of quality management, or from other sources, that indicate that relevant ethical requirements applicable to the nature and circumstances of the audit engagement have not been fulfilled, the engagement partner, in consultation with others in the firm, shall take appropriate action.	n/a	Not addressed in the [draft] audit standard
Requirements	ISA 220 (Revised) Paragraph 21 Relevant Ethical Requirements, including Those related to Independence	n/a	Prior to dating the auditor's report, the engagement partner shall take responsibility for determining whether relevant ethical requirements, including those related to independence, have been fulfilled.	n/a	Not addressed in the [draft] audit standard
Requirements	ISA 220 (Revised) Paragraph 22 Acceptance and Continuance of Client Relationships and Audit Engagements	Paragraph 1A.2.5.(a) Engagement Quality Management The Engagement Partner's Responsibilities	The engagement partner shall determine that the firm's policies or procedures for the acceptance and continuance of client relationships and audit engagements have been followed, and that conclusions reached in this regard are appropriate.	The engagement partner shall take responsibility for: (a) Determining that the firm's policies and procedures regarding acceptance and continuance of the audit engagement have been followed and determining that	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				conclusions reached in this regard are appropriate;	
Requirements	ISA 220 (Revised) Paragraph 23 Acceptance and Continuance of Client Relationships and Audit Engagements	Paragraph 4.2.6. Planning Planning Activities	The engagement partner shall take into account information obtained in the acceptance and continuance process in planning and performing the audit engagement in accordance with the ISAs and complying with the requirements of this ISA.	The engagement partner shall take into account information obtained in the acceptance and continuance process in planning and performing the audit.	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard
Requirements	ISA 220 (Revised) Paragraph 24 Acceptance and Continuance of Client Relationships and Audit Engagements	n/a	If the engagement team becomes aware of information that may have caused the firm to decline the audit engagement had that information been known by the firm prior to accepting or continuing the client relationship or specific engagement, the engagement partner shall communicate that information promptly to the firm, so that the firm and the engagement partner can take the necessary action.	n/a	Not addressed in the [draft] audit standard
Requirements	ISA 220 (Revised) Paragraph 25 Engagement resources	Paragraph 1A.2.6.(a) Engagement Quality Management The Engagement Partner's Responsibilities	The engagement partner shall determine that sufficient and appropriate resources to perform the engagement are assigned or made available to the engagement team in a timely manner, taking into account the nature and	The engagement partner shall: (a) Taking into account the nature and circumstances of the audit, determine whether: (i) Sufficient and appropriate resources	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard (first sub-bullet addresses this paragraph)

Section	Reference & Heading		Text		Comparison
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			circumstances of the audit engagement, the firm's policies or procedures, and any changes that may arise during the engagement.	are assigned to the engagement; and (ii) That members of the engagement team, and any experts, collectively have the appropriate competence and capabilities, including sufficient time, to perform the audit engagement; and If the above conditions are not met, the engagement partner shall take appropriate action, including communicating with appropriate individuals about the need to assign or make available additional or alternative resources to the engagement. 	
Requirements	ISA 220 (Revised) Paragraph 26 Engagement resources	Paragraph 1A.2.6.(a) Engagement Quality Management The Engagement Partner's Responsibilities	The engagement partner shall determine that members of the engagement team, and any auditor's external experts and internal auditors who provide direct assistance who are not part of the engagement team, collectively have the appropriate competence and capabilities, including sufficient time, to perform the audit engagement.	The engagement partner shall: (b) Taking into account the nature and circumstances of the audit, determine whether: (i) Sufficient and appropriate resources are assigned to the engagement; and (ii) That members of the engagement team, and any experts, collectively have the appropriate competence and capabilities, including	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard (second sub-bullet addresses this paragraph)

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Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				sufficient time, to perform the audit engagement; and If the above conditions are not met, the engagement partner shall take appropriate action, including communicating with appropriate individuals about the need to assign or make available additional or alternative resources to the engagement. 	
Requirements	ISA 220 (Revised) Paragraph 27 Engagement resources	n/a	If, as a result of complying with the requirements in paragraphs 25 and 26, the engagement partner determines that resources assigned or made available are insufficient or inappropriate in the circumstances of the audit engagement, the engagement partner shall take appropriate action, including communicating with appropriate individuals about the need to assign or make available additional or alternative resources to the engagement.	n/a	Not addressed in the [draft] audit standard
Requirements	ISA 220 (Revised) Paragraph 28 Engagement resources	Paragraph 1A.2.3. Engagement Quality Management The Engagement Partner's Responsibilities	The engagement partner shall take responsibility for using the resources assigned or made available to the engagement team appropriately, given the nature and circumstances of the audit engagement.	If the engagement partner assigns the design or performance of procedures, tasks or actions to other members of the engagement team, the engagement partner shall continue to take overall responsibility for managing and	Addressed, but with alterations

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				achieving quality through direction and supervision of the other members of the engagement team, and review of their work. The nature, timing and extent of direction, supervision and review is responsive to the nature and circumstances of the engagement.	
Requirements	ISA 220 (Revised) Paragraph 29 Engagement Performance <i>Direction, Supervision and Review</i>	n/a	The engagement partner shall take responsibility for the direction and supervision of the members of the engagement team and the review of their work.	n/a	Not addressed in the [draft] audit standard
Requirements	ISA 220 (Revised) Paragraph 30 Engagement Performance <i>Direction, Supervision and Review</i>	Paragraph 1A.2.3. Engagement Quality Management The Engagement Partner's Responsibilities	The engagement partner shall determine that the nature, timing and extent of direction, supervision and review is: (a) Planned and performed in accordance with the firm's policies or procedures, professional standards and applicable legal and regulatory requirements; and (b) Responsive to the nature and circumstances of the audit engagement and the resources assigned or made available to the engagement team by the firm.	If the engagement partner assigns the design or performance of procedures, tasks or actions to other members of the engagement team, the engagement partner shall continue to take overall responsibility for managing and achieving quality through direction and supervision of the other members of the engagement team, and review of their work. The nature, timing and extent of direction, supervision and review	Addressed, but with alterations Adapted to the circumstances of the LCE standard Paragraph (a) has not been addressed

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				is responsive to the nature and circumstances of the engagement.	
Requirements	ISA 220 (Revised) Paragraph 31 Engagement Performance <i>Direction, Supervision and Review</i>	Paragraph 1A.2.6.(b) Engagement Quality Management The Engagement Partner's Responsibilities	The engagement partner shall review audit documentation at appropriate points in time during the audit engagement, including audit documentation relating to: (a) Significant matters; (b) Significant judgments, including those relating to difficult or contentious matters identified during the audit engagement, and the conclusions reached; and (c) Other matters that, in the engagement partner's professional judgment, are	The engagement partner shall: (b) Review audit documentation at appropriate points in time during the audit, including documentation relating to significant matters, significant judgments (including those relating to difficult or contentious matters) and other matters that, in the engagement partner's professional judgment, are relevant to the engagement partner's responsibilities;	Both standards are aligned.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			relevant to the engagement partner's responsibilities.		
Requirements	ISA 220 (Revised) Paragraph 32 Engagement Performance <i>Direction, Supervision and Review</i>	Paragraph 1A.2.6.(c) Engagement Quality Management The Engagement Partner's Responsibilities	On or before the date of the auditor's report, the engagement partner shall determine, through review of audit documentation and discussion with the engagement team, that sufficient appropriate audit evidence has been obtained to support the conclusions reached and for the auditor's report to be issued	The engagement partner shall: (c) On or before the date of the auditor's report, determine that sufficient appropriate audit evidence has been obtained to support the conclusions reached and for the auditor's report to be issued; ...	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard
Requirements	ISA 220 (Revised) Paragraph 33 Engagement Performance <i>Direction, Supervision and Review</i>	Paragraph 1A.2.6.(d) Engagement Quality Management The Engagement Partner's Responsibilities	Prior to dating the auditor's report, the engagement partner shall review the financial statements and the auditor's report, including, if applicable, the description of the key audit matters and related audit documentation, to determine that the report to be issued will be appropriate in the circumstances	The engagement partner shall: ... (d) Prior to dating the auditor's report, review the financial statements and the auditor's report to determine that the auditor's report being issued will be appropriate in the circumstances; 	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard
Requirements	ISA 220 (Revised) Paragraph 34 Engagement Performance	n/a	The engagement partner shall review, prior to their issuance, formal written communications to management, those charged with governance or regulatory authorities.	n/a	Not addressed in the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	<i>Direction, Supervision and Review</i>				
Requirements	ISA 220 (Revised) Paragraph 35 Engagement Performance Consultation	Paragraph 1A.2.5.(b) Engagement Quality Management The Engagement Partner's Responsibilities	The engagement partner shall: (a) Take responsibility for the engagement team undertaking consultation on: (i) Difficult or contentious matters and matters on which the firm's policies or procedures require consultation; and (ii) Other matters that, in the engagement partner's professional judgment, require consultation; (b) Determine that members of the engagement team have undertaken appropriate consultation during the audit engagement, both within the engagement team, and between the engagement team and others at the appropriate level within or outside the firm; (c) Determine that the nature and scope of, and conclusions resulting from, such consultations are agreed with the party consulted; and	The engagement partner shall take responsibility for: (b) Consultations being made in accordance with the firm's policies and procedures on difficult or contentious matters, and determine that conclusions agreed have been implemented; and	<i>Addressed, but with alterations</i> Adapted to the circumstances of the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			(d) Determine that conclusions agreed have been implemented		
Requirements	ISA 220 (Revised) Paragraph 36 Engagement Performance <i>Engagement Quality Review</i>	Paragraph 1A.2.6.(f) Engagement Quality Management The Engagement Partner's Responsibilities	For audit engagements for which an engagement quality review is required, the engagement partner shall: (a) Determine that an engagement quality reviewer has been appointed; (b) Cooperate with the engagement quality reviewer and inform other members of the engagement team of their responsibility to do so; (c) Discuss significant matters and significant judgments arising during the audit engagement, including those identified during the engagement quality review, with the engagement quality reviewer; and (d) Not date the auditor's report until the completion of the engagement quality review.	The engagement partner shall: ... (f) Where an engagement quality review is required, determine that the engagement quality review has been performed in accordance with the firm's policies and procedures and completed before the date of the auditor's report.	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard
Requirements	ISA 220 (Revised) Paragraph 37 Engagement Performance <i>Differences of Opinion</i>	Paragraph 1A.2.5.(c) Engagement Quality Management The Engagement Partner's Responsibilities	If differences of opinion arise within the engagement team, or between the engagement team and the engagement quality reviewer or individuals performing activities within the firm's system of quality management, including those who provide consultation, the	The engagement partner shall take responsibility for: (c) Differences of opinions within the engagement team, with those consulted and with the engagement partner and the engagement quality reviewer	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			engagement team shall follow the firm's policies or procedures for dealing with and resolving such differences of opinion.	have been addressed and resolved, with conclusions reached documented and implemented, in accordance with the firm's policies and procedures.	
Requirements	ISA 220 (Revised) Paragraph 38 Engagement Performance <i>Differences of Opinion</i>	Paragraph 1A.2.5.(c) Engagement Quality Management The Engagement Partner's Responsibilities	The engagement partner shall: (a) Take responsibility for differences of opinion being addressed and resolved in accordance with the firm's policies or procedures; (b) Determine that conclusions reached are documented and implemented; and (c) Not date the auditor's report until any differences of opinion are resolved.	The engagement partner shall take responsibility for: (c) Differences of opinions within the engagement team, with those consulted and with the engagement partner and the engagement quality reviewer have been addressed and resolved, with conclusions reached documented and implemented, in accordance with the firm's policies and procedures.	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard
Requirements	ISA 220 (Revised) Paragraph 39 Monitoring and Remediation	Paragraph 1A.2.6. Engagement Quality Management The Engagement Partner's Responsibilities	The engagement partner shall take responsibility for: (a) Obtaining an understanding of the information from the firm's monitoring and remediation process, as communicated by the firm including, as applicable, the information from the monitoring and remediation process of the network and across the network firms;	The engagement partner shall: (e) Determine whether the results of the firm's monitoring and remediation process and, if applicable, other network firms, and deficiencies noted in that information may affect the audit engagement; and	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard

Section	Reference & Heading		Text		Comparison
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			(b) Determining the relevance and effect on the audit engagement of the information referred to in paragraph 39(a) and take appropriate action; and (c) Remaining alert throughout the audit engagement for information that may be relevant to the firm's monitoring and remediation process and communicate such information to those responsible for the process.		
Requirements	ISA 220 (Revised) Paragraph 40 Taking Overall Responsibility for Managing and Achieving Quality	Paragraph 7.7.1. Concluding Taking Overall Responsibility for Managing and Achieving Quality	Prior to dating the auditor's report, the engagement partner shall determine that the engagement partner has taken overall responsibility for managing and achieving quality on the audit engagement. In doing so, the engagement partner shall determine that: (a) The engagement partner's involvement has been sufficient and appropriate throughout the audit engagement such that the engagement partner has the basis for determining that the significant judgments made and the conclusions reached are appropriate given the nature and circumstances of the engagement; and	Prior to dating the auditor's report, the engagement partner shall determine that overall responsibility for managing and achieving quality on the audit engagement has been taken.	Addressed, but with alterations

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			(b) The nature and circumstances of the audit engagement, any changes thereto, and the firm's related policies or procedures have been taken into account in complying with the requirements of this ISA		
Requirements	ISA 220 (Revised) Paragraph 41 Documentation	Paragraph 3.5.1. Acceptance or Continuance of an Audit Engagement and Initial Engagements Specific Documentation Requirements Paragraph 7.2.4. Concluding The Auditor's Evaluations and Other Activities to Support the Conclusion	In applying ISA 230, the auditor shall include in the audit documentation: (a) Matters identified, relevant discussions with personnel, and conclusions reached with respect to: (i) Fulfillment of responsibilities relating to relevant ethical requirements, including those related to independence. (ii) The acceptance and continuance of the client relationship and audit engagement. (b) The nature and scope of, and conclusions resulting from, consultations undertaken during the audit engagement and how such conclusions were implemented. (c) If the audit engagement is subject to an engagement quality review, that the engagement quality review has	In addition to the general documentation requirements (paragraphs 2.7.1.–2.7.6.) for an audit engagement, the auditor shall include in the audit documentation matters identified, relevant discussions with personnel, and conclusions reached with respect to: (a) Fulfillment of responsibilities relating to relevant ethical requirements, including applicable independence requirements. (b) The acceptance and continuance of the client relationships and audit engagement. ***** The engagement partner shall determine that members of the engagement team have undertaken appropriate consultation and determine that	Addressed, but with alterations Reference to ISA 230 is omitted. Paragraph 41(a) has been addressed here. Paragraphs 41(b) and 41(c) of ISA 220 (Revised) not specifically addressed but paragraph 7.2.7. addresses broadly the auditor's considerations about the consultations when concluding.

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			been completed on or before the date of the auditor's report.	the conclusions agreed have been implemented.	
Application Material	ISA 220 (Revised) Paragraph A14	Paragraph 1A.2.1. Engagement Quality Management The Engagement Partner's Responsibilities	-	<i>The requirements relating to direction, supervision and review of the work of other members of the engagement team are only relevant if there are other members of the engagement team other than the engagement partner.</i>	Essential material
ISA 230, Audit Documentation					
Objective	ISA 230 Paragraph 5	Paragraph 2.1.1.(b) Audit Evidence Objectives	The objective of the auditor is to prepare documentation that provides: (a) A sufficient and appropriate record of the basis for the auditor's report; and (b) Evidence that the audit was planned and performed in accordance with ISAs and applicable legal and regulatory requirements.	The objectives of the auditor are to: (b) Prepare documentation that provides a sufficient and appropriate record of the basis for the auditor's opinion and provides evidence that the audit was planned and performed in accordance with this [draft] audit standard and applicable laws and regulations; and	Both standards are aligned.
Requirements	ISA 230 Paragraph 7 Timely Preparation of Audit Documentation	Paragraph 2.7.1. Audit Evidence Overarching Documentation Requirements	The auditor shall prepare audit documentation on a timely basis.	 The auditor shall prepare audit documentation on a timely basis ...	Both standards are aligned.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 230 Paragraph 8 Documentation of the Audit Procedures Performed and Audit Evidence Obtained <i>Form, Content and Extent of Audit Documentation</i>	Paragraph 2.7.1. Audit Evidence Overarching Documentation Requirements	The auditor shall prepare audit documentation that is sufficient to enable an experienced auditor, having no previous connection with the audit, to understand: (a) The nature, timing and extent of the audit procedures performed to comply with the ISAs and applicable legal and regulatory requirements; (b) The results of the audit procedures performed, and the audit evidence obtained; and (c) Significant matters arising during the audit, the conclusions reached thereon, and significant professional judgments made in reaching those conclusions.	 that is sufficient to enable an experienced auditor, having no previous connection with the audit, to understand: (a) The nature, timing and extent of the audit procedures performed in accordance with this standard and applicable legal and regulatory requirements, including recording: (b) The results of the audit procedures performed, and the audit evidence obtained; and (c) Significant matters arising during the audit, the conclusions reached thereon, and significant professional judgments made in reaching those conclusions.	Addressed, but with alterations Para's 8 and 9 of ISA 230 are presented together in the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 230 Paragraph 9 Documentation of the Audit Procedures Performed and Audit Evidence Obtained <i>Form, Content and Extent of Audit Documentation</i>	Paragraph 2.7.1.(a) Audit Evidence Overarching Documentation Requirements	In documenting the nature, timing and extent of audit procedures performed, the auditor shall record: (a) The identifying characteristics of the specific items or matters tested; (b) Who performed the audit work and the date such work was completed; and (c) Who reviewed the audit work performed and the date and extent of such review.	 (a) The nature, timing and extent of the audit procedures performed in accordance with this standard and applicable legal and regulatory requirements, including recording: - The identifying characteristics of the specific items or matters tested; - Who performed the work and the date such work was completed; - Who reviewed the audit work performed and the date and extent of such review, including what was reviewed.	Addressed, but with alterations Para's 8 and 9 of ISA 230 are presented together in the [draft] audit standard
Requirements	ISA 230 Paragraph 10 Documentation of the Audit Procedures Performed and Audit Evidence Obtained <i>Form, Content and Extent of Audit Documentation</i>	Paragraph 2.8.6. Audit Evidence Overarching Communications with Management and Those Charged with Governance	The auditor shall document discussions of significant matters with management, those charged with governance, and others, including the nature of the significant matters discussed and when and with whom the discussions took place.	The auditor shall document discussions of significant matters with management, those charged with governance, and others, including the nature of the significant matters discussed and when and with whom the discussions took place.	Both standards are aligned.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 230 Paragraph 11 Documentation of the Audit Procedures Performed and Audit Evidence Obtained <i>Form, Content and Extent of Audit Documentation</i>	Paragraph 2.7.4. Audit Evidence Overarching Documentation Requirements	If the auditor identified information that is inconsistent with the auditor's final conclusion regarding a significant matter, the auditor shall document how the auditor addressed the inconsistency.	If the auditor identified information that is inconsistent with the auditor's conclusion regarding a significant matter, the auditor shall document how the inconsistency was addressed.	Both standards are aligned.
Requirements	ISA 230 Paragraph 12 Documentation of the Audit Procedures Performed and Audit Evidence Obtained <i>Departure from a Relevant Requirement</i>	Paragraph 2.7.5. Audit Evidence Overarching Documentation Requirements	If, in exceptional circumstances, the auditor judges it necessary to depart from a relevant requirement in an ISA, the auditor shall document how the alternative audit procedures performed achieve the aim of that requirement, and the reasons for the departure.	If, in exceptional circumstances, the auditor judges it necessary to depart from a relevant requirement of this standard, the auditor shall document how the alternative audit procedures performed achieve the aim of that requirement, and the reasons for the departure.	Both standards are aligned.
Requirements	ISA 230 Paragraph 13 Documentation of the Audit Procedures Performed and Audit Evidence Obtained	Paragraph 7.9.1.(c) Concluding Specific Documentation Requirements	If, in exceptional circumstances, the auditor performs new or additional audit procedures or draws new conclusions after the date of the auditor's report, the auditor shall document: (a) The circumstances encountered;	 (c) If, in exceptional circumstances, the auditor performs new or additional audit procedures or draws new conclusions after the date of the auditor's report, the auditor shall document:	Both standards are aligned.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	<i>Matters Arising after the Date of the Auditor's Report</i>		(b) The new or additional audit procedures performed, audit evidence obtained, and conclusions reached, and their effect on the auditor's report; and (c) When and by whom the resulting changes to audit documentation were made and reviewed.	(i) The circumstances encountered; (ii) The new or additional audit procedures performed, audit evidence obtained, and conclusions reached, and their effect on the auditor's report; and (iii) When and by whom the resulting changes to audit documentation were made and reviewed.	
Requirements	ISA 230 Paragraph 14 Assembly of the Final Audit File	Paragraph 7.9.2. Concluding Specific Documentation Requirements	The auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report.	The auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report.	Both standards are aligned.
Requirements	ISA 230 Paragraph 15 Assembly of the Final Audit File	Paragraph 7.9.4. Concluding Specific Documentation Requirements	After the assembly of the final audit file has been completed, the auditor shall not delete or discard audit documentation of any nature before the end of its retention period.	After assembly of the final audit file is complete, the auditor shall not move audit documentation of any nature before the end of its retention period (for example, a period of 5 years).	Addressed, but with alterations
Requirements	ISA 230 Paragraph 16 Assembly of the Final Audit File	Paragraph 7.9.6. Concluding Specific Documentation Requirements	In circumstances other than those envisaged in paragraph 13 where the auditor finds it necessary to modify existing audit documentation or add new audit documentation after the assembly	If the auditor finds it necessary to modify existing audit documentation or add new audit documentation after the assembly of the final audit file has been completed, the auditor shall,	Addressed, but with alterations

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			of the final audit file has been completed, the auditor shall, regardless of the nature of the modifications or additions, document: (a) The specific reasons for making them; and (b) When and by whom they were made and reviewed.	regardless of the nature of the modifications or additions, document: (a) The specific reasons for making them; and (b) When and by whom they were made and reviewed.	
Application Material	ISA 230 Paragraph A8	Paragraph 2.7.2. Audit Evidence Overarching Documentation Requirements	-	<i>The significance of a matter requires professional judgment and the analysis of the facts and circumstances, and may include matters giving rise to significant risks, areas where the financial statements could be materially misstated, circumstances where the auditor has had difficulty in applying the necessary audit procedures, or any findings that could result in a modified audit opinion.</i>	Essential material
Application Material	ISA 230 Paragraphs A2-A5	Paragraph 2.7.3. Audit Evidence Overarching Documentation Requirements	-	<i>The form, content and extent of audit documentation depends on many factors related to the nature and circumstances of the entity and the procedures being performed. Audit documentation may be in paper or electronic format. It is not necessary to include superseded drafts of working papers or financial statements in the audit documentation. Oral explanations,</i>	Essential material

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				<i>by the auditor on their own, do not adequately support the work performed by the auditor or the conclusions reached.</i>	
Application Material	ISA 230 Paragraphs A21-A22	Paragraph 7.9.3. Concluding Specific Documentation Requirements	-	<i>An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 60 days after the date of the auditor's report. The completion of the assembly of the final audit file after the date of the auditor's report is an administrative process that does not involve the performance of new audit procedures or the drawing of new conclusions. Changes may, however, be made to the audit documentation during the final assembly process if they are administrative in nature.</i>	Essential material
ISA 260 (Revised), Communication with Those Charged with Governance					
Objectives	ISA 260 (Revised) Paragraph 9	Paragraph 2.1.1.(c) Audit Evidence Objectives	The objectives of the auditor are: (a) To communicate clearly with those charged with governance the responsibilities of the auditor in relation to the financial statement audit, and an overview of the planned scope and timing of the audit; (b) To obtain from those charged with governance information relevant to the audit;	The objectives of the auditor are to: (c) Communicate clearly about matters related to the audit, obtain information relevant to the audit, provide timely observations that are relevant to management (or those charged with governance) and, where appropriate, promote effective two-way	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			(c) To provide those charged with governance with timely observations arising from the audit that are significant and relevant to their responsibility to oversee the financial reporting process; and (d) To promote effective two-way communication between the auditor and those charged with governance.	communication between the auditor and those charged with governance.	
Requirements	ISA 260 (Revised) Paragraph 11 Those Charged with Governance	n/a	The auditor shall determine the appropriate person(s) within the entity's governance structure with whom to communicate.	n/a	Not addressed in the [draft] audit standard. Structures within an LCE should be relatively simpler therefore would unlikely need this requirement Essential application material added (see 2.8.1. and 2.8.2)
Requirements	ISA 260 (Revised) Paragraph 12 Those Charged with Governance <i>Communication with a Subgroup of Those Charged with Governance</i>	n/a	If the auditor communicates with a subgroup of those charged with governance, for example, an audit committee, or an individual, the auditor shall determine whether the auditor also needs to communicate with the governing body.	n/a	Not addressed in the [draft] audit standard. Structures within an LCE should be relatively simpler therefore would unlikely need this requirement Essential application material added (see 2.8.1. and 2.8.2)

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 260 (Revised) Paragraph 13 Those Charged with Governance <i>When All of Those Charged with Governance Are Involved in Managing the Entity</i>	n/a	In some cases, all of those charged with governance are involved in managing the entity, for example, a small business where a single owner manages the entity and no one else has a governance role. In these cases, if matters required by this ISA are communicated with person(s) with management responsibilities, and those person(s) also have governance responsibilities, the matters need not be communicated again with those same person(s) in their governance role. These matters are noted in paragraph 16(c). The auditor shall nonetheless be satisfied that communication with person(s) with management responsibilities adequately informs all of those with whom the auditor would otherwise communicate in their governance capacity.	n/a	Not addressed in the [draft] audit standard. Structures within an LCE should be relatively simpler therefore would unlikely need this requirement (although it looks more in the nature of essential explanatory material – no “shall”) Essential material added (see 2.8.1. and 2.8.2)
Requirements	ISA 260 (Revised) Paragraph 14 Matters to Be Communicated <i>The Auditor's Responsibilities in Relation to the Financial Statement Audit</i>	Paragraph 3.3.1. Acceptance or Continuance of an Audit Engagement and Initial Engagements Terms of the Audit Engagement	The auditor shall communicate with those charged with governance the responsibilities of the auditor in relation to the financial statement audit, including that: (a) The auditor is responsible for forming and expressing an opinion on the financial statements that have been prepared by management with	 In doing so, the auditor shall communicate the auditor's responsibilities for forming and expressing an opinion on the financial statements prepared by management, and that the auditor's responsibilities do not relieve management or those charged with governance from	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			the oversight of those charged with governance; and (b) The audit of the financial statements does not relieve management or those charged with governance of their responsibilities.	their responsibilities for preparing the financial statements. 	
Requirements	ISA 260 (Revised) Paragraph 15 Matters to Be Communicated <i>Planned Scope and Timing of the Audit</i>	Paragraph 4.4.1. Planning Specific Communication Requirements	The auditor shall communicate with those charged with governance an overview of the planned scope and timing of the audit, which includes communicating about the significant risks identified by the auditor.	The auditor shall communicate with those charged with governance an overview of the planned scope and timing of the audit, which includes communicating about the significant risks identified by the auditor.	Both standards are aligned.
Requirements	ISA 260 (Revised) Paragraph 16 Matters to Be Communicated <i>Significant Findings from the Audit</i>	Paragraph 7.8.1. Concluding Specific Communication Requirements	The auditor shall communicate with those charged with governance: (a) The auditor's views about significant qualitative aspects of the entity's accounting practices, including accounting policies, accounting estimates and financial statement disclosures. When applicable, the auditor shall explain to those charged with governance why the auditor considers a significant accounting practice, that is acceptable under the applicable financial reporting framework, not to be most	The auditor shall communicate with management on a timely basis. Matters to be communicated include; (a) Significant findings from the audit, including: (i) The auditor's views about qualitative aspects of the entity's accounting practices, including accounting policies, accounting estimates and financial statement disclosures. (ii) Significant difficulties, if any, encountered during the audit.	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard Communication requirements of several ISAs combined

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			appropriate to the particular circumstances of the entity; (b) Significant difficulties, if any, encountered during the audit; (c) Unless all of those charged with governance are involved in managing the entity: (i) Significant matters arising during the audit that were discussed, or subject to correspondence, with management; and (ii) Written representations the auditor is requesting; (d) Circumstances that affect the form and content of the auditor's report, if any; and (e) Any other significant matters arising during the audit that, in the auditor's professional judgment, are relevant to the oversight of the financial reporting process.	(iii) Identified control deficiencies. (iv) Identified misstatements or potential misstatements. (v) Identified or suspected fraud or information that indicates that a fraud may exist unless prohibited by applicable laws and regulations. (vi) Identified or suspect non-compliance with laws or regulations with relevance for the audit. (b) Circumstances, if any, that affect the form and content of the auditor's report. (c) Written representations the auditor is requesting. (d) Communication requirements under laws and regulation. (e) Other significant matters, if any, arising from the audit that, in the auditor's professional judgment, are significant to the financial statements and the financial reporting process. The auditor shall also communicate the above matters to those charged with governance if separate from management.	

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 260 (Revised) Paragraph 17 Matters to Be Communicated <i>Auditor Independence</i>	n/a	In the case of listed entities, the auditor shall communicate with those charged with governance: (a) A statement that the engagement team and others in the firm as appropriate, the firm and, when applicable, network firms have complied with relevant ethical requirements regarding independence; and (i) All relationships and other matters between the firm, network firms, and the entity that, in the auditor's professional judgment, may reasonably be thought to bear on independence. This shall include total fees charged during the period covered by the financial statements for audit and non-audit services provided by the firm and network firms to the entity and components controlled by the entity. These fees shall be allocated to categories that are appropriate to assist those charged with governance in assessing the effect of services on	n/a	Not addressed in the [draft] audit standard. Only applies to listed entities

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			the independence of the auditor; and (ii) In respect of threats to independence that are not at an acceptable level, the actions taken to address the threats, including actions that were taken to eliminate the circumstances that create the threats, or applying safeguards to reduce the threats to an acceptable level. (Ref: Para. A29–A32)		
Requirements	ISA 260 (Revised) Paragraph 18 The Communication Process <i>Establishing the Communication Process</i>	Paragraph 2.8.5. Audit Evidence Overarching Communications with Management and Those Charged with Governance	The auditor shall communicate with those charged with governance the form, timing and expected general content of communications.	Specific matters to be communicated are required throughout this [draft] audit standard. The auditor shall use professional judgment in determining the appropriate form, timing and general content of the communications with management (or those charged with governance). When determining the form of communication, the auditor shall consider: (a) Legal requirements for communication; and (b) The significance of the matters to be communicated.	<i>Addressed, but with alterations</i> Adapted to the circumstances of the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 260 (Revised) Paragraph 19 The Communication Process <i>Forms of Communication</i>	Paragraph 2.8.5. Audit Evidence Overarching Communications with Management and Those Charged with Governance Paragraph 7.8.1. Concluding Specific Communication Requirements Paragraph 2.8.8. Audit Evidence Overarching Communications with Management and Those Charged with Governance	The auditor shall communicate in writing with those charged with governance regarding significant findings from the audit if, in the auditor's professional judgment, oral communication would not be adequate. Written communications need not include all matters that arose during the course of the audit.	Specific matters to be communicated are required throughout this [draft] audit standard. The auditor shall use professional judgment in determining the appropriate form, timing and general content of the communications with management (or those charged with governance). When determining the form of communication, the auditor shall consider: (a) Legal requirements for communication; and (b) The significance of the matters to be communicated. ***** The auditor shall communicate with management on a timely basis. Matters to be communicated include: (a) Significant findings from the audit, including: ***** Written communications need not include all matters that arose during the audit.	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard
Requirements	ISA 260 (Revised)	n/a	The auditor shall communicate in writing with those charged with governance regarding auditor	n/a	Not addressed in the [draft] audit standard.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	Paragraph 20 The Communication Process <i>Forms of Communication</i>		independence when required by paragraph 17.		Only applies to listed entities
Requirements	ISA 260 (Revised) Paragraph 21 The Communication Process <i>Timing of Communications</i>	Paragraph 2.8.3. Audit Evidence Overarching Communications with Management and Those Charged with Governance	The auditor shall communicate with those charged with governance on a timely basis.	The auditor shall communicate with those charged with governance on a timely basis.	Both standards are aligned.
Requirements	ISA 260 (Revised) Paragraph 22 The Communication Process <i>Adequacy of the Communication Process</i>	n/a	The auditor shall evaluate whether the two-way communication between the auditor and those charged with governance has been adequate for the purpose of the audit. If it has not, the auditor shall evaluate the effect, if any, on the auditor's assessment of the risks of material misstatement and ability to obtain sufficient appropriate audit evidence, and shall take appropriate action.	n/a	Not addressed in the [draft] audit standard.
Requirements	ISA 260 (Revised) Paragraph 23 Documentation	Paragraph 2.8.8. Audit Evidence Overarching Communications with Management and Those Charged with Governance	Where matters required by this ISA to be communicated are communicated orally, the auditor shall include them in the audit documentation, and when and to whom they were communicated.	Where this standard requires matters to be communicated with management, and those charged with governance, the auditor shall document these matters, and when and to whom they were	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			Where matters have been communicated in writing, the auditor shall retain a copy of the communication as part of the audit documentation.	communicated. Where matters have been communicated in writing, the auditor shall retain a copy of the communication as part of the audit documentation.	
Application Material	ISA 260 (Revised) Paragraphs A2, A3 and A8	Paragraphs 2.8.1. and 2.8.2. Audit Evidence Overarching Communications with Management and Those Charged with Governance	-	<i>Governance structures vary by jurisdiction and by entity, reflecting influences such as different cultural and legal backgrounds, and size and ownership characteristics. Governance is the collective responsibility of a governing body, such as a board of directors, a supervisory board, partners, proprietors, a committee of management, a council of governors, trustees or equivalent. However, in many less complex entities, one person may be charged with governance, for example the owner-manager. Where those charged with governance are involved in managing the entity, the application of the communication requirements is adjusted to recognize this.</i> <i>There may be other cases where it is not clear with whom to communicate, for example in some family owned businesses, some not-for-profit organizations and some government entities. In</i>	Essential material

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				<i>such cases the auditor may need to discuss and agree with whom communications should be made.</i>	
Application Material	ISA 260 Paragraph A49 (part)	Paragraph 2.8.4. Audit Evidence Overarching Communications with Management and Those Charged with Governance	-	<i>The appropriate timing for communications will vary with the circumstances of the engagement, and may be affected by the significance and nature of the matter, and the actions expected to be taken by those charged with governance.</i>	Essential material
ISA 300, Planning an Audit of Financial Statements					
Objectives	ISA 300 Paragraph 4	Paragraph 4.1.1.(a) Planning Objectives	The objective of the auditor is to plan the audit so that it will be performed in an effective manner.	The objectives of the auditor are to: (a) Plan the audit so that it will be performed in an effective manner; and	Both standards are aligned.
Requirements	ISA 300 Paragraph 5 Involvement of Key Engagement Team Members	Paragraph 4.2.1. Planning Planning Activities	The engagement partner and other key members of the engagement team shall be involved in planning the audit, including planning and participating in the discussion among engagement team members.	The engagement partner and other key members of the engagement team shall be involved in planning the audit.	Addressed, but with alterations Requirements with respect to the Engagement Team discussion are presented separately in the Planning Part of the [draft] audit standard.
Requirements	ISA 300 Paragraph 6	Paragraph 4.2.2. Planning Planning Activities	The auditor shall undertake the following activities at the beginning of the current audit engagement:	The auditor shall evaluate compliance with relevant ethical requirements, including independence. In doing so, the engagement partner shall	Addressed, but with alterations • Para 6(b) – aligned. Second sentence includes para 18 of ISA 220 (Revised)

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	Preliminary Engagement Activities	Paragraph 4.2.6. Planning Planning Activities	(a) Performing procedures required by ISA 220 regarding the continuance of the client relationship and the specific audit engagement; (b) Evaluating compliance with relevant ethical requirements, including independence, in accordance with ISA 220, and (c) Establishing an understanding of the terms of the engagement, as required by ISA 210.	evaluate any threats through compliance with the firm's policies or procedures using relevant information from the firm, the engagement team or other resources, and take appropriate action. ***** The engagement partner shall take into account information obtained in the acceptance and continuance process in planning and performing the audit.	- Also addressed elsewhere – no need to repeat - ISA 220 point – see Part 3 on acceptance and continuance - Ethical requirement in ISA 220 – see 1.4.4. of [draft] audit standard - ISA 210 – see Part 3 re acceptance / continuance (see paragraph 3.3.1)
Requirements	ISA 300 Paragraph 7 Planning Activities	Paragraph 4.2.3. Planning Planning Activities	The auditor shall establish an overall audit strategy that sets the scope, timing and direction of the audit, and that guides the development of the audit plan.	The auditor shall set the scope, timing and direction of the audit.	Addressed, but with alterations. The [draft] audit standard does not address an "audit strategy" and "audit plan" rather combines the concept which is more appropriate for audits of LCEs.
Requirements	ISA 300 Paragraph 8 Planning Activities	Paragraph 4.2.3. Planning Planning Activities	In establishing the overall audit strategy, the auditor shall: (a) Identify the characteristics of the engagement that define its scope; (b) Ascertain the reporting objectives of the engagement to plan the timing of the audit	 In establishing the scope, timing and direction of the audit, the auditor shall: (a) Identify the characteristics of the engagement that define its scope; (b) Ascertain the reporting objectives of the engagement	Both standards are aligned.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			and the nature of the communications required; (c) Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts; (d) Consider the results of preliminary engagement activities and, where applicable, whether knowledge gained on other engagements performed by the engagement partner for the entity is relevant; and (e) Ascertain the nature, timing and extent of resources necessary to perform the engagement.	to plan the timing of the audit and the nature of the communications required; (c) Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts; (d) Consider the results of preliminary engagement activities and, where applicable, whether knowledge gained on other engagements performed by the engagement partner for this entity is relevant; (e) Ascertain the nature, timing and extent of resources necessary to perform the audit, including determining whether experts are needed; and ...	

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 300 Paragraph 9 Planning Activities	-	The auditor shall develop an audit plan that shall include a description of: (a) The nature, timing and extent of planned risk assessment procedures, as determined under ISA 315 (Revised). (b) The nature, timing and extent of planned further audit procedures at the assertion level, as determined under ISA 330. (c) Other planned audit procedures that are required to be carried out so that the engagement complies with ISAs.	-	Also addressed elsewhere – no need to repeat - ISA 315 – see Part 5 on risk identification and assessment - ISA 330 – see Part 6 on responding to assessed risks of material misstatement - Other – see all Parts
Requirements	ISA 300 Paragraph 10 Planning Activities	Paragraph 4.2.5. Planning Planning Activities	The auditor shall update and change the overall audit strategy and the audit plan as necessary during the course of the audit.	The auditor shall update and change the scope, timing and direction as necessary during the audit.	Addressed, but with alterations. Change takes into account no separate strategy and plan
Requirements	ISA 300 Paragraph 11 Planning Activities	Paragraph 4.2.3.(f) Planning Planning Activities	The auditor shall plan the nature, timing and extent of direction and supervision of engagement team members and the review of their work.	 (f) Plan the nature, timing and extent of direction and supervision of engagement members and review of their work.	Both standards are aligned.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 300 Paragraph 12 Documentation	Paragraph 4.5.1. Planning Specific Documentation Requirements	The auditor shall include in the audit documentation: (a) The overall audit strategy; (b) The audit plan; and (c) Any significant changes made during the audit engagement to the overall audit strategy or the audit plan, and the reasons for such changes.	In addition to the general documentation requirements (paragraphs 2.7.1–2.7.6) for an audit engagement, the auditor shall include the scope, timing and direction of the audit, and significant changes made during the audit, together with the reasons for such changes, in the audit documentation.	Addressed, but with alterations. Takes account of no separate strategy and audit plan. The [draft] audit standard combines the additional documentation requirements from ISA 300 and ISA 320.
Requirements	-	Paragraph 4.5.4 Planning Specific Documentation Requirements		The auditor shall document the professional judgments made in determining that this [draft] audit standard is appropriate for the nature and circumstances of the entity being audited. The auditor shall also document changes if further information comes to the auditor's attention during the audit that may change the professional judgments made.	No ISA requirement – this is specific to the [draft] audit standard to require documentation of the professional judgment with regards to the appropriateness of the standard to use for that particular audit engagement.
Requirements	ISA 300 Paragraph 13 Additional Considerations in Initial Audit Engagements	Paragraph 3.4.2. Acceptance or Continuance of an Audit Engagement and Initial Engagements Initial Engagements	The auditor shall undertake the following activities prior to starting an initial audit: (a) Performing procedures required by ISA 220 regarding the acceptance of the client	If the engagement is an initial audit and there has been a change in auditors, the auditor shall communicate with the predecessor auditor.	Addressed, but with alterations. Addresses para 13(b) Client acceptance procedures and compliance with ISA 220 – see Part 3 on Acceptance/Continuance

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			relationship and the specific audit engagement; and (b) Communicating with the predecessor auditor, where there has been a change of auditors, in compliance with relevant ethical requirements.		
ISA 315 (Revised 2019), Identifying and Assessing the Risks of Material Misstatement					
Requirements	ISA 315 (Revised 2019) Paragraph 11 Objective	Paragraph 5.1.1. Risk Identification and Assessment Objectives	The objective of the auditor is to identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels thereby providing a basis for designing and implementing responses to the assessed risks of material misstatement.	The objectives of the auditor are to: (a) Understand the entity and its environment, the applicable financial reporting framework and the entity's system of internal control to enable the auditor to identify and assess the risks of material misstatement; and (b) Identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels, thereby providing a basis for designing and implementing responses to the assessed risks of material misstatement.	Addressed, but with alterations.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 315 (Revised 2019) Paragraph 13 Risk Assessment Procedures and Related Activities	Paragraph 5.2.1. Risk Identification and Assessment Procedures for Identifying and Assessing Risks and Related Activities Paragraph 1.3.10. Fundamental Concepts and General Principles Fundamental Concepts and General Principles for Performing the Audit <i>Professional Skepticism</i>	The auditor shall design and perform risk assessment procedures to obtain audit evidence that provides an appropriate basis for: (a) The identification and assessment of risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels; and (b) The design of further audit procedures in accordance with ISA 330. The auditor shall design and perform risk assessment procedures in a manner that is not biased towards obtaining audit evidence that may be corroborative or towards excluding audit evidence that may be contradictory.	The auditor shall design and perform procedures to obtain audit evidence that provides an appropriate basis for: (a) The identification and assessment of risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels; and (b) The design of further audit procedures ***** Professional skepticism involves performing procedures in a way that is not biased towards obtaining audit evidence that may be corroborative or towards excluding audit evidence that is contradictory.	Addressed, but with alterations. Intro (a) and (b) fully addressed. Hanging paragraph has now been moved to Part 1 (and is broader so is adequately covered) – see paragraph 1.3.10 of the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 315 (Revised 2019) Paragraph 14 Risk Assessment Procedures and Related Activities	Paragraph 5.2.2. Risk Identification and Assessment Procedures for Identifying and Assessing Risks and Related Activities	The risk assessment procedures shall include the following: (a) Inquiries of management and of other appropriate individuals within the entity, including individuals within the internal audit function (if the function exists). (b) Analytical procedures. (c) Observation and inspection.	The procedures to identify and assess risks shall include: (a) Inquiries with management, and other appropriate individuals within the entity; and (b) Analytical procedures, including those to identify unusual or unexpected trends and relationships that may indicate risks of material misstatement. If unusual or unexpected trends and relationships are identified they shall be considered for fraud or error; and (c) Observation and inspection.	Addressed, but with alterations First bullet fully aligns with the exception of the internal audit function (not addressed within this standard). Second bullet expanded to include paragraph 23 of ISA 240 to combine where the matters relate to each other. Third bullet fully aligns. The hanging paragraph is essential material from paragraph A16 of ISA 315 (Revised 2019)
Requirements	ISA 315 (Revised 2019) Paragraph 15 Risk Assessment Procedures and Related Activities <i>Information from Other Sources</i>	Paragraph 5.2.4. Risk Identification and Assessment Procedures for Identifying and Assessing Risks and Related Activities <i>Fraud</i>	In obtaining audit evidence in accordance with paragraph 13, the auditor shall consider information from: (a) The auditor's procedures regarding acceptance or continuance of the client relationship or the audit engagement; and	The auditor shall consider information, including information about fraud, from the acceptance and continuance procedures, and other engagements performed by the engagement partner for the entity in identifying risks of material misstatement arising from fraud.	Addressed, but with alterations Rearticulated but outcome would be the same.

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			(b) When applicable, other engagements performed by the engagement partner for the entity.		
Requirements	ISA 315 (Revised 2019) Paragraph 16 Risk Assessment Procedures and Related Activities <i>Information from Other Sources</i>	Paragraph 4.2.7. Planning Planning Activities	When the auditor intends to use information obtained from the auditor's previous experience with the entity and from audit procedures performed in previous audits, the auditor shall evaluate whether such information remains relevant and reliable as audit evidence for the current audit.	When information has been obtained from the previous experience with the client, or prior audits, the auditor shall evaluate whether such information remains relevant and reliable.	Addressed, but with alterations Rearticulated but outcome would be the same.
Requirements	ISA 315 (Revised 2019) Paragraph 17 Risk Assessment Procedures and Related Activities <i>Engagement Team Discussion</i>	Paragraph 4.2.8. (a) Planning Planning Activities <i>Engagement Team Discussion</i>	The engagement partner and other key engagement team members shall discuss the application of the applicable financial reporting framework and the susceptibility of the entity's financial statements to material misstatement.	The engagement partner and other key engagement team members shall: (a) Discuss the application of the applicable financial reporting framework and the susceptibility of the entity's financial statements to material misstatement.	Both standards are aligned.

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Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 315 (Revised 2019) Paragraph 18 Risk Assessment Procedures and Related Activities <i>Engagement Team Discussion</i>	Paragraph 4.2.10. Planning Planning Activities <i>Engagement Team Discussion</i>	When there are engagement team members not involved in the engagement team discussion, the engagement partner shall determine which matters are to be communicated to those members	When there are engagement team members not involved in the discussion, the engagement partner shall determine which matters are to be communicated to those members.	Both standards are aligned.

Requirements	ISA 315 (Revised 2019) Paragraph 19 Obtaining an Understanding of the Entity and Its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control <i>Understanding the Entity and Its Environment, and the Applicable Financial Reporting Framework</i>	Paragraph 5.3.5. and 5.3.2. Risk Identification and Assessment Understanding Relevant Aspects of the Entity <i>Understanding the Entity and Its Environment</i>	The auditor shall perform risk assessment procedures to obtain an understanding of: (a) The following aspects of the entity and its environment: (i) The entity's organizational structure, ownership and governance, and its business model, including the extent to which the business model integrates the use of IT; (ii) Industry, regulatory and other external factors; and (iii) The measures used, internally and externally, to assess the entity's financial performance; (b) The applicable financial reporting framework, and the entity's accounting policies and the reasons for any changes thereto; and (c) How inherent risk factors affect susceptibility of assertions to misstatement and the degree to which they do so, in the preparation of the financial statements in accordance with the applicable financial	5.3.5. The auditor shall obtain an understanding of: (a) The entity's organizational structure (including, if applicable, the group structure and components), ownership and governance, business model (including how the entity uses IT in its business model). (b) The industry and other external factors. (c) How the entity's financial performance is measured. (d) The legal and regulatory framework applicable to the entity, and how the entity is complying with that framework. (e) The entity's transactions and other events and conditions that may give rise to accounting estimates. When an estimate is assessed to be significant for an item in the financial statements, the auditor shall obtain an understanding of the assumptions and methods used in determining the estimate.	Addressed, but with alterations Taking account of the inherent risk factors addressed in 5.3.2 set out in separate requirement but broadly addressed
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Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			reporting framework, based on the understanding obtained in (a) and (b).	(f) Agreements or relationships that may result in unrecognized liabilities, future commitments or changes to current asset valuations through reviewing minutes of meetings and correspondence with legal counsel and reviewing legal expense accounts. 5.3.2 In obtaining an understanding of the entity and its environment and the applicable financial reporting framework, the auditor shall understand how inherent risk factors affect the susceptibility of assertions to misstatement, and the degree to which they do so.	
Requirements	ISA 315 (Revised 2019) Paragraph 20 Obtaining an Understanding of the Entity and Its Environment, the Applicable Financial	Paragraph 5.3.6., 5.3.7. and 5.3.2 Risk Identification and Assessment Understanding Relevant Aspects of the Entity <i>Understanding the Applicable Financial Reporting Framework</i>	The auditor shall evaluate whether the entity's accounting policies are appropriate and consistent with the applicable financial reporting framework.	5.3.6. The auditor shall obtain an understanding of: (a) The applicable financial reporting framework. In relation to accounting estimates, the understanding includes the recognition criteria, measurement bases, and the related presentation and disclosure requirements	<i>Addressed, but with alterations</i> First bullet includes aspects of ISA 540 (revised) (para 13(b)) <i>Second bullet aligns</i> <i>Second paragraph aligns to ISA 315 (Revised) para 20</i> Taking account of the inherent risk factors addressed in 5.3.2 set out in

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	Reporting Framework and the Entity's System of Internal Control <i>Understanding the Entity and Its Environment, and the Applicable Financial Reporting Framework</i>			and how these apply in the context of the nature and circumstances of the entity and its environment. (b) The entity's accounting policies and reasons for any changes thereto. 5.3.7. The auditor shall evaluate whether the entity's accounting policies are appropriate and consistent with the applicable financial reporting framework. 5.3.2. In obtaining an understanding of the entity and its environment and the applicable financial reporting framework, the auditor shall understand how inherent risk factors affect the susceptibility of assertions to misstatement, and the degree to which they do so.	separate requirement but broadly addressed
Requirements	ISA 315 (Revised 2019) Paragraph 21 Obtaining an Understanding of the Entity and Its Environment,	Paragraph 5.3.9. Risk Identification and Assessment Understanding Relevant Aspects of the Entity <i>Understanding the Entity's System of internal Control</i>	The auditor shall obtain an understanding of the control environment relevant to the preparation of the financial statements, through performing risk assessment procedures, by:	The auditor shall obtain an understanding of the entity's control environment, including: (a) How management's oversight responsibilities are carried out; and (b) How owner-managers have an active involvement and	Addressed, but with alterations The detailed sub bullets have been altered to take into account the nature of an LCE. The evaluation of the understanding in context of the understanding has not been addressed.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	the Applicable Financial Reporting Framework and the Entity's System of Internal Control <i>Understanding the Components of the Entity's System of internal Control</i> Control Environment		(a) Understanding the set of controls, processes and structures that address: (i) How management's oversight responsibilities are carried out, such as the entity's culture and management's commitment to integrity and ethical values; (ii) When those charged with governance are separate from management, the independence of, and oversight over the entity's system of internal control by, those charged with governance; (iii) The entity's assignment of authority and responsibility; (iv) How the entity attracts, develops, and retains competent individuals; and (v) How the entity holds individuals accountable for their responsibilities in the pursuit of the objectives of	influence the risks arising from management override of controls due to lack of segregation of duties.	"Obtain an understanding through performing risk assessment procedures" covered in one requirement for all – see paragraph 5.3.3. of [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			the system of internal control; and (b) Evaluating whether: (i) Management, with the oversight of those charged with governance, has created and maintained a culture of honesty and ethical behavior; (ii) The control environment provides an appropriate foundation for the other components of the entity's system of internal control considering the nature and complexity of the entity; and (iii) Control deficiencies identified in the control environment undermine the other components of the entity's system of internal control.		
Requirements	ISA 315 (Revised 2019) Paragraph 22	Paragraph 5.3.11. Risk Identification and Assessment	The auditor shall obtain an understanding of the entity's risk assessment process relevant to the preparation of the financial	The auditor shall obtain an understanding of the entity's risk assessment process relevant to the financial statements, including how this process identifies and	<i>Addressed, but with alterations</i> This has been revised for the nature of an LCE – the understanding and evaluation thereof are addressed.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	Obtaining an Understanding of the Entity and Its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control <i>Understanding the Components of the Entity's System of Internal Control</i> The Entity's Risk Assessment System	Understanding Relevant Aspects of the Entity <i>Understanding the Entity's System of Internal Control</i>	statements, through performing risk assessment procedures, by: (a) Understanding the entity's process for: (i) Identifying business risks relevant to financial reporting objectives; (ii) Assessing the significance of those risks, including the likelihood of their occurrence; and (iii) Addressing those risks; and (b) Evaluating whether the entity's risk assessment process is appropriate to the entity's circumstances considering the nature and complexity of the entity.	addresses risks related to accounting estimates.	First bullet includes aspects of ISA 540 (revised) (para 13(g)) "Obtain an understanding through performing risk assessment procedures" covered in one requirement for all – see paragraph 5.3.3. of [draft] audit standard
Requirements	ISA 315 (Revised 2019) Paragraph 23 Obtaining an Understanding of the Entity and Its Environment, the Applicable	-	If the auditor identifies risks of material misstatement that management failed to identify, the auditor shall: (a) Determine whether any such risks are of a kind that the auditor expects would have been identified by the entity's risk assessment process and,	-	Not addressed in the [draft] audit standard.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	Financial Reporting Framework and the Entity's System of Internal Control <i>Understanding the Components of the Entity's System of internal Control</i> The Entity's Risk Assessment System		if so, obtain an understanding of why the entity's risk assessment process failed to identify such risks of material misstatement; and (b) Consider the implications for the auditor's evaluation in paragraph 22(b).		
Requirements	ISA 315 (Revised 2019) Paragraph 24 Obtaining an Understanding of the Entity and Its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control	Paragraph 5.3.13. Risk Identification and Assessment Understanding Relevant Aspects of the Entity <i>Understanding the Entity's System of internal Control</i> Paragraph 5.3.15. Risk Identification and Assessment Understanding Relevant Aspects of the Entity	The auditor shall obtain an understanding of the entity's process for monitoring the system of internal control relevant to the preparation of the financial statements, through performing risk assessment procedures, by: (a) Understanding those aspects of the entity's process that address: (i) Ongoing and separate evaluations for monitoring the effectiveness of controls, and the identification and	The auditor shall obtain an understanding of the entity's process to monitor the system of internal control, including how deficiencies are remediated. ***** The auditor shall consider the appropriateness of the control environment, the entity's risk assessment process, and the entity's system of internal control in context of the nature and circumstances of the entity, and identify whether any control deficiencies exist.	Addressed, but with alterations This has been revised for the nature of an LCE – the understanding and evaluation thereof are addressed. Internal audit has not been incorporated in the [draft] audit standard so is not addressed. "Obtain an understanding through performing risk assessment procedures" covered in one requirement for all – see paragraph 5.3.3. of [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	<i>Understanding the Components of the Entity's System of Internal Control</i> The Entity's Process to Monitor the System of Internal Control	<i>Understanding the Entity's System of Internal Control</i>	remediation of control deficiencies identified; (Ref: Para. A116–A117) and (ii) The entity's internal audit function, if any, including its nature, responsibilities and activities; (Ref: Para. A118) (b) Understanding the sources of the information used in the entity's process to monitor the system of internal control, and the basis upon which management considers the information to be sufficiently reliable for the purpose; and (c) Evaluating whether the entity's process for monitoring the system of internal control is appropriate to the entity's circumstances considering the nature and complexity of the entity.		

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 315 (Revised 2019) Paragraph 24 Obtaining an Understanding of the Entity and Its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control <i>Understanding the Components of the Entity's System of Internal Control</i> The Entity's Process to Monitor the System of Internal Control	Paragraph 5.3.16. Risk Identification and Assessment Understanding Relevant Aspects of the Entity <i>Understanding the Entity's System of Internal Control</i>	The auditor shall obtain an understanding of the entity's information system and communication relevant to the preparation of the financial statements, through performing risk assessment procedures, by: (a) Understanding the entity's information processing activities, including its data and information, the resources to be used in such activities and the policies that define, for significant classes of transactions, account balances and disclosures: (i) How information flows through the entity's information system, including how: a. Transactions are initiated, and how information about them is recorded, processed, corrected as necessary, incorporated in the general ledger and reported in the	The auditor shall obtain an understanding of the information system relevant to the preparation of the financial statements, including: (a) For classes of transactions, account balances and disclosures, including how those transactions are initiated, recorded, processed, corrected as necessary, transferred to the general ledger and reported in the financial statements: (i) How the information system captures, processes and discloses events and conditions, other than transactions; (ii) The accounting and other support records relating to the flows of information; (iii) The entity's resources used in the financial reporting process; (iv) The IT environment; (b) The financial reporting process used to prepare the	Addressed, but with alterations Addressed (paragraph 25(a) of ISA 315 (Revised 2019), but with alterations Changes made to make more appropriate for an LCE with a less complex system Communication addressed separately below

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			financial statements; and b. Information about events and conditions, other than transactions, is captured, processed and disclosed in the financial statements; (ii) The accounting records, specific accounts in the financial statements and other supporting records relating to the flows of information in the information system; (iii) The financial reporting process used to prepare the entity's financial statements, including disclosures; and (iv) The entity's resources, including the IT environment, relevant to (a)(i) to (a)(iii) above; (b) Understanding how the entity communicates significant matters that support the preparation of the financial	entity's financial statements, including disclosures; and (c) For accounting estimates, how the accounting estimates are made, the models used, the source of data, the selection of assumptions and how management reviews the outcomes of previous estimates and responds to the results of that review; In doing so, the auditor shall evaluate whether the entity's information system appropriately supports the preparation of the entity's financial statements in accordance with the applicable financial reporting framework.	

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			statements and related reporting responsibilities in the information system and other components of the system of internal control: (Ref: Para. A144–A145) (i) Between people within the entity, including how financial reporting roles and responsibilities are communicated; (ii) Between management and those charged with governance; and (iii) With external parties, such as those with regulatory authorities; (c) Evaluating whether the entity's information system and communication appropriately support the preparation of the entity's financial statements in accordance with the applicable financial reporting framework.		
Requirements	ISA 315 (Revised 2019) Paragraph 25	Paragraph 5.3.17. Risk Identification and Assessment	The auditor shall obtain an understanding of the entity's information system and communication relevant to the preparation of the financial	The auditor shall obtain an understanding of how the entity communicates significant matters related to the preparation of the financial statements, and related	Addressed, but with alterations Addresses paragraph 25(b) of ISA 315 (Revised 2019) (i.e.,

Section	Reference & Heading		Text		Comparison
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	Obtaining an Understanding of the Entity and Its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control <i>Understanding the Components of the Entity's System of Internal Control</i> The information system and communication	Understanding Relevant Aspects of the Entity <i>Understanding the Entity's System of Internal Control</i>	statements, through performing risk assessment procedures, by: (Ref: Para. A131) (a) Understanding the entity's information processing activities, including its data and information, the resources to be used in such activities and the policies that define, for significant classes of transactions, account balances and disclosures: (Ref: Para. A132–A143) (i) How information flows through the entity's information system, including how: a. Transactions are initiated, and how information about them is recorded, processed, corrected as necessary, incorporated in the general ledger and reported in the financial statements; and b. Information about events and conditions, other than transactions, is captured,	reporting responsibilities, between people within the entity, between management and those charged with governance (if applicable) and with external parties (such as regulatory authorities).	communication aspect), but with alterations This has been revised for the nature of an LCE – the communication aspects is addressed but not all parties have been outlined. This has also been kept as a separate requirement – one aspect per paragraph.

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			processed and disclosed in the financial statements; (ii) The accounting records, specific accounts in the financial statements and other supporting records relating to the flows of information in the information system; (iii) The financial reporting process used to prepare the entity's financial statements, including disclosures; and (iv) The entity's resources, including the IT environment, relevant to (a)(i) to (a)(iii) above; (b) Understanding how the entity communicates significant matters that support the preparation of the financial statements and related reporting responsibilities in the information system and other components of the system of internal control: (Ref: Para. A144–A145) (i) Between people within the entity, including how		

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			financial reporting roles and responsibilities are communicated; (ii) Between management and those charged with governance; and (iii) With external parties, such as those with regulatory authorities; and (c) Evaluating whether the entity's information system and communication appropriately support the preparation of the entity's financial statements in accordance with the applicable financial reporting framework. (Ref: Para. A146)		
Requirements	ISA 315 (Revised 2019) Paragraph 26 Obtaining an Understanding of the Entity and Its Environment, the Applicable Financial	Paragraph 5.3.18. Risk Identification and Assessment Understanding Relevant Aspects of the Entity <i>Understanding the Entity's System of Internal Control</i>	The auditor shall obtain an understanding of the control activities component, through performing risk assessment procedures, by: (a) Identifying controls that address risks of material misstatement at the assertion level in the control activities component as follows:	The auditor shall obtain an understanding of controls that address risks of material misstatement at the assertion level as follows: (a) Controls that address risks determined to be significant risks; (b) Controls over journal entries including to record non-	Addressed but with alterations The component – control activities – has not been named. Rather more direct language used. Also includes ISA 402 para 10 and ISA 550 para 14 (b) and (c) are covered in a separate requirement see below

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	Reporting Framework and the Entity's System of Internal Control <i>Understanding the Components of the Entity's System of internal Control</i> Control Activities		(i) Controls that address a risk that is determined to be a significant risk; (Ref: Para. A158–A159) (ii) Controls over journal entries, including non-standard journal entries used to record non-recurring, unusual transactions or adjustments; (Ref: Para. A160–A161) (iii) Controls for which the auditor plans to test operating effectiveness in determining the nature, timing and extent of substantive testing, which shall include controls that address risks for which substantive procedures alone do not provide sufficient appropriate audit evidence; and (Ref: Para. A162–A164) (iv) Other controls that the auditor considers are appropriate to enable the auditor to meet the objectives of paragraph 13	recurring unusual transactions or adjustments; (c) Controls for which the auditor plans to test the operating effectiveness of controls, including those controls where substantive procedures alone are not enough to obtain sufficient appropriate audit evidence; (d) Other controls, based on the auditor's professional judgment, where the auditor considers it appropriate to meet the objectives of identifying risks of material misstatement at the assertion level; (e) If applicable, controls that relate to information processed by a service organization; and (f) Controls, if any, established in relation to related party relationships to identify, account for, and disclose in accordance with the applicable financial reporting framework, authorize and	

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			with respect to risks at the assertion level, based on the auditor's professional judgment; (Ref: Para. A165) (b) Based on controls identified in (a), identifying the IT applications and the other aspects of the entity's IT environment that are subject to risks arising from the use of IT; (Ref: Para. A166–A172) (c) For such IT applications and other aspects of the IT environment identified in (b), identifying: (Ref: Para. A173–A174) (i) The related risks arising from the use of IT; and (ii) The entity's general IT controls that address such risks; and (d) For each control identified in (a) or (c)(ii): (Ref: Para. A175–A181) (i) Evaluating whether the control is designed effectively to address the	approve significant transactions and relationships, and authorize and approve significant transactions and arrangements outside the normal course of business. For each control identified in (a)-(f) above, the auditor shall evaluate whether the control is designed effectively, and determine whether the control has been implemented, by performing procedures more than inquiry.	

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			risk of material misstatement at the assertion level, or effectively designed to support the operation of other controls; and (ii) Determining whether the control has been implemented by performing procedures in addition to inquiry of the entity's personnel.		
Requirements		Paragraph 5.3.20. Risk Identification and Assessment Understanding Relevant Aspects of the Entity <i>Understanding the Entity's System of internal Control</i>		For the controls identified in paragraph 5.3.18 above, the auditor shall identify the IT applications and other aspects of the IT environment that are subject to risks arising from IT, and identify the related risks arising from the use of IT. For those risks arising from the use of IT identified, the auditor shall identify the entity's general IT controls, and evaluate whether the general IT control is designed effectively and determine whether the control has been implemented by performing procedures more than inquiry.	Addressed but with alterations In a separate requirement and restructured but would require same matters as paragraphs 26(b) and (c) of ISA 315 (Revised 2019)

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 315 (Revised 2019) Paragraph 27 Obtaining an Understanding of the Entity and Its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control <i>Control Deficiencies Within the Entity's System of Internal Control</i>	Paragraph 5.3.15. Risk Identification and Assessment	Based on the auditor's evaluation of each of the components of the entity's system of internal control, the auditor shall determine whether one or more control deficiencies have been identified.	The auditor shall consider the appropriateness of the control environment, the entity's risk assessment process, and the entity's system of internal control in context of the nature and circumstances of the entity, and identify whether any control deficiencies exist	Addressed but with alterations The "evaluations" for the indirect components of internal control have been described differently so as not to suggest a full evaluation – this is more appropriate to the nature of an LCE
Requirements	ISA 315 (Revised 2019) Paragraph 28 Identifying and Assessing the Risks of	Paragraph 5.4.2. Risk Identification and Assessment	The auditor shall identify the risks of material misstatement and determine whether they exist at: (a) The financial statement level; or	The auditor shall identify the risks of material misstatement, due to fraud or error, at: (a) The financial statement level; and (b) The assertion level for classes of transactions,	Addressed but with alterations Have left out "determine whether they exist" –not sure the outcome will be any different

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	Material Misstatement <i>Identifying Risks of Material Misstatement</i>		(b) The assertion level for classes of transactions, account balances and disclosures.	account balances, and disclosures.	
Requirements	ISA 315 (Revised 2019) Paragraph 29 Identifying and Assessing the Risks of Material Misstatement <i>Identifying Risks of Material Misstatement</i>	Paragraph 5.4.6. Risk Identification and Assessment	The auditor shall determine the relevant assertions and the related significant classes of transactions, account balances and disclosures	The auditor shall determine the relevant assertions and the related significant classes of transactions, account balances and disclosures.	Both standards are aligned.
Requirements	ISA 315 (Revised 2019) Paragraph 30 Identifying and Assessing the Risks of Material Misstatement <i>Assessing Risks of Material Misstatement at</i>	Paragraph 5.5.1.(a) Risk Identification and Assessment <i>Assessing Inherent Risk</i>	For identified risks of material misstatement at the financial statement level, the auditor shall assess the risks and: (a) Determine whether such risks affect the assessment of risks at the assertion level; and (b) Evaluate the nature and extent of their pervasive effect on the financial statements.	For identified risks of material misstatement, the auditor shall assess: (a) The risks of material misstatement at the financial statement level. In doing so, the auditor shall determine whether such risks affect risks at the assertion level, and evaluate the nature and extent of their pervasive	Addressed but with alterations Assessment at financial statement level and assertion level has been combined – all aspects addressed

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	<i>the Financial Statement Level</i>			effect on the financial statements; and	
Requirements	ISA 315 (Revised 2019) Paragraph 31 Identifying and Assessing the Risks of Material Misstatement <i>Assessing Risks of Material Misstatement at the Assertion Level</i> Assessing Inherent Risk	Paragraph 5.5.1.(b) Risk Identification and Assessment <i>Assessing Inherent Risk</i>	For identified risks of material misstatement at the assertion level, the auditor shall assess inherent risk by assessing the likelihood and magnitude of misstatement. In doing so, the auditor shall take into account how, and the degree to which: (a) Inherent risk factors affect the susceptibility of relevant assertions to misstatement; and (b) The risks of material misstatement at the financial statement level affect the assessment of inherent risk for risks of material misstatement at the assertion level.	For identified risks of material misstatement, the auditor shall assess: (b) Inherent risk for identified risks of material misstatement at the assertion level by assessing the likelihood and magnitude of misstatement, and taking into account the inherent risk factors.	Addressed but with alterations Although rearticulated to be more appropriate for LCE's the basic aspects have all been addressed within the full requirement.
Requirements	ISA 315 (Revised 2019) Paragraph 32 Identifying and Assessing the Risks of	Paragraph 5.5.5. Risk Identification and Assessment <i>Significant Risks</i>	The auditor shall determine whether any of the assessed risks of material misstatement are significant risks.	The auditor shall determine whether any of the assessed risks of material misstatement are, in the auditor's professional judgment, a significant risk.	Addressed but with alterations

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	Material Misstatement <i>Assessing Risks of Material Misstatement at the Assertion Level</i> Assessing Inherent Risk				
Requirements		Paragraph 5.5.7. Risk Identification and Assessment <i>Significant Risks</i>		In exercising professional judgment as to which assessed risks are significant risks, the auditor shall consider at least the following: (a) Whether the risk is a risk of fraud (for example because of management override of controls or a presumed risk of fraud such as in revenue recognition), the auditor shall treat identified fraud risks as significant risks; (b) Whether the risk involves significant transactions with related parties. The auditor shall treat identified significant related party transactions outside the entity's normal course of	Addressed but with alterations This paragraph is in the [draft] audit standard and comes for various requirement and essential material to assist with understanding what significant risks are: -First bullet from ISA 240 -Second bullet para 18 of ISA 550 -Next two bullets are essential material -Last bullet is paragraph 33(c) of ISA 240

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				business as giving rise to significant risks; (c) How the inherent risk factors, such as the complexity of transactions and the degree of subjectivity in the measurement of financial information related to the risk, including those measurements involving a wide range of measurement uncertainty, have influenced the auditor's assessment on the spectrum of risk; and (d) Whether the risk involves significant transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual.	
Requirements	ISA 315 (Revised 2019) Paragraph 33 Identifying and Assessing the Risks of Material Misstatement	Paragraph 5.5.3. Risk Identification and Assessment <i>Assessing Inherent Risk</i>	The auditor shall determine whether substantive procedures alone cannot provide sufficient appropriate audit evidence for any of the risks of material misstatement at the assertion level.	The auditor shall determine whether substantive procedures alone cannot provide sufficient appropriate audit evidence for any of the risks of material misstatement at the assertion level.	Both standards are aligned.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	<i>Assessing Risks of Material Misstatement at the Assertion Level</i> Assessing Inherent Risk				
Requirements	ISA 315 (Revised 2019) Paragraph 34 Identifying and Assessing the Risks of Material Misstatement <i>Assessing Risks of Material Misstatement at the Assertion Level</i> Assessing Control Risk	Paragraph 5.5.8. Risk Identification and Assessment <i>Assessing Control Risk</i>	If the auditor plans to test the operating effectiveness of controls, the auditor shall assess control risk. If the auditor does not plan to test the operating effectiveness of controls, the auditor's assessment of control risk shall be such that the assessment of the risk of material misstatement is the same as the assessment of inherent risk.	If the auditor plans to test the operating effectiveness of controls the auditor shall assess control risk, otherwise the risk of material misstatement is the same as the assessment of inherent risk.	Addressed but with alterations Although rearticulated to be more appropriate for LCE's
Requirements	ISA 315 (Revised 2019) Paragraph 35 Identifying and Assessing the Risks of	Paragraph 5.5.9. Risk Identification and Assessment Evaluation of the Procedures to Identify and Assess Risks of Material	The auditor shall evaluate whether the audit evidence obtained from the risk assessment procedures provides an appropriate basis for the identification and assessment of the risks of material	The auditor shall evaluate whether the audit evidence obtained from procedures to identify and assess the risks of material misstatement provides an appropriate basis for the identification and assessment	Addressed but with alterations Basic requirement has been addressed.

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	Material Misstatement <i>Evaluating the Audit Evidence Obtained from the Risk Assessment Procedures</i>	Misstatement and Reassessment of Risk	misstatement. If not, the auditor shall perform additional risk assessment procedures until audit evidence has been obtained to provide such a basis. In identifying and assessing the risks of material misstatement, the auditor shall take into account all audit evidence obtained from the risk assessment procedures, whether corroborative or contradictory to assertions made by management	of the risks of material misstatement. If not, the auditor shall perform additional procedures.	
Requirements	ISA 315 (Revised 2019) Paragraph 36 Identifying and Assessing the Risks of Material Misstatement <i>Classes of Transactions, Account Balances and Disclosures that Are Not Significant, but Which Are Material</i>	-	For material classes of transactions, account balances or disclosures that have not been determined to be significant classes of transactions, account balances or disclosures, the auditor shall evaluate whether the auditor's determination remains appropriate	-	Not addressed in the [draft] audit standard.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 315 (Revised 2019) Paragraph 37 Identifying and Assessing the Risks of Material Misstatement <i>Revision of Risk Assessment</i>	Paragraph 5.5.10. Risk Identification and Assessment Evaluation of the Procedures to Identify and Assess Risks of Material Misstatement and Reassessment of Risk	If the auditor obtains new information which is inconsistent with the audit evidence on which the auditor originally based the identification or assessments of the risks of material misstatement, the auditor shall revise the identification or assessment.	The auditor's assessment of the risks of material misstatement at the assertion level may change during the course of the audit as additional audit evidence is obtained. In circumstances where the auditor obtains audit evidence from performing further audit procedures, or if new information is obtained, either of which is inconsistent with the audit evidence on which the auditor originally based the assessment, the auditor shall revise the assessment and modify the further planned audit procedures accordingly.	Both standards are aligned. Although articulated differently both standards are aligned.
Requirements	n/a	Paragraph 5.5.11. Risk Identification and Assessment Evaluation of the Applicability of the [Draft] Audit Standard	n/a	If new information has been obtained from when the original assessment was made to use this [draft] audit standard, the auditor shall reevaluate the appropriateness of this audit standard in completing the audit.	The requirement is not addressed in the ISA and has been included in the [draft] audit standard as a "stand back" requirement to evaluate appropriate use of the [draft] audit standard.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 315 (Revised 2019) Paragraph 38 Documentation	Paragraph 5.7.1. Risk Identification and Assessment Specific Documentation Requirements	The auditor shall include in the audit documentation: (i) The discussion among the engagement team and the significant decisions reached; (ii) Key elements of the auditor's understanding in accordance with paragraphs 19, 21, 22, 24 and 25; the sources of information from which the auditor's understanding was obtained; and the risk assessment procedures performed; (iii) The evaluation of the design of identified controls, and determination whether such controls have been implemented, in accordance with the requirements in paragraph 26; and (iv) The identified and assessed risks of material misstatement at the financial statement level and at the assertion level, including significant risks and risks for which substantive procedures alone cannot provide sufficient appropriate	In addition to the general documentation requirements (paragraphs 2.7.1.-2.7.6.) for an audit engagement, the auditor shall include the following in the audit documentation: (a) Key elements of the understanding obtained regarding each of the aspects of the entity and its environment, the applicable financial reporting framework and the entity's system of internal control; (b) The names of the identified related parties (including changes from prior period), the nature of the related party relationships, and whether the entity entered into any transactions with these related parties during the period and, if so, the type and purpose of the transactions; (c) The identified and assessed risks of material misstatement, including risk due to fraud, at the financial statement level and at the	Addressed but with alterations -First bullet aligns with (i) of ISA 315 (revised 2019) – no specific references to paragraphs; risk assessment performed covered by general documentation requirements in Part 2 -Internal control covered broadly in first bullet not the detail as in (iii) of ISA 315 (Revised 2019) and also by 4th bullet -Third bullet from ISA 550 -Fourth bullet aligns with (iv) of ISA 315 (Revised 2019) except substantive procedures alone (likely to be less in such entities) -In (iv) of ISA 315 (Revised 2019) significant judgments have been covered by general documentation requirements in Part 2 -Last bullet from ISA 250

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			audit evidence, and the rationale for the significant judgments made.	assertion level, including significant risks and risks for which substantive procedures alone cannot provide sufficient appropriate audit evidence, and the rationale for the significant judgments made; (d) If applicable, the reasons for the conclusion that there is not a risk of material misstatement due to fraud related to revenue recognition. (e) The controls set out in paragraph 5.3.18. and the evaluation whether the control is designed effectively and determination whether the control has been implemented; and (f) For accounting estimates, the auditor shall document key elements of the auditor's understanding of the accounting estimates, including controls as appropriate, the linkage of the assessed risks of material misstatements to the auditor's	

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				further procedures, and any indicators of management bias and how those were addressed. (g) Identified or suspected non-compliance with laws and regulations and the results of discussion with management and, where applicable, those charged with governance and parties outside the entity.	
Application Material	-	Paragraph 4.2.9. Planning Planning Activities <i>Engagement Team Discussion</i>	-	<i>The engagement team discussion may also include other matters related to the audit such as the logistics, operational and other matters (such as where risks of material misstatement may have changed from prior years or matters related to relevant ethical requirement including independence) and the timing of the audit and communications that are required.</i>	Essential material
Application Material	ISA 315 (Revised 2019) Paragraph A7, A50 and A95	Paragraph 5.3.1. Risk Identification and Assessment Understanding Relevant Aspects of the Entity	n/a	<i>The auditor's understanding of the entity and its environment, and applicable financial reporting framework, establishes a frame of reference in which the auditor identifies and assess the risks of</i>	Essential material Essential material added from definition material of IRF's – para A7 From paragraphs A50 and A95 in ISA 315 (Revised 2019)

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				material misstatement, and also informs how the auditor plans and performs further audit procedures. The auditor's understanding of the entity's system of internal control influences the auditor's identification and assessment of the risks of material misstatement, and also assists the auditor in planning and designing further audit procedures. The entity's system of internal control consists of the five components of internal control, for which an understanding is required for each: • The control environment. • The entity's risk assessment process. • The entity's process to monitor the system of internal control. • The information system and communications. • Control activities.	
Application Material	ISA 315 (Revised 2019) Paragraph A7	Paragraph 5.3.4. Risk Identification and Assessment	-	Inherent risk factors may be qualitative or quantitative and affect the susceptibility of assertions to misstatement.	Essential material

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
		Understanding Relevant Aspects of the Entity		<i>Qualitative inherent risk factors relating to the preparation of information required by the applicable financial reporting framework include:</i> • <i>Complexity;</i> • <i>Subjectivity;</i> • <i>Change;</i> • <i>Uncertainty; or</i> • <i>Susceptibility to misstatement due to management bias or other fraud risk factors insofar as they affect inherent risk</i>	
Application Material	ISA 315 (Revised 2019) Paragraph A92	Paragraph 5.3.8. Risk Identification and Assessment Understanding Relevant Aspects of the Entity <i>Understanding the Entity's System of internal Control</i>	-	<i>In less complex entities, and in particular owner-manager entities, the way in which the entity's system of internal control is designed, implemented and maintained will vary with the entity's size and complexity. Where there are no formal processes or documented policies or procedures, the auditor is still required to obtain an understanding of how management or those charged with governance prevent and detect fraud and errors, and use professional judgment to</i>	Essential material

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Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				<i>determine the nature of the work to obtain the required understanding.</i>	
Application Material	-	Paragraph 5.3.10. Risk Identification and Assessment Understanding Relevant Aspects of the Entity <i>Understanding the Entity's System of Internal Control</i>		<i>The control environment includes the governance and management functions and the attitudes, awareness and actions of those charged with governance and management concerning the entity's system of internal control and its importance in the entity.</i>	Essential material Definition of control environment
Application Material	ISA 315 (Revised 2019) Paragraph A109	Paragraph 5.3.12. Risk Identification and Assessment Understanding Relevant Aspects of the Entity <i>Understanding the Entity's System of Internal Control</i>	-	<i>The entity's risk assessment process identifies business risks relevant to the preparation of the financial statements, and actions to address those risks.</i>	Essential material
Application Material	ISA 315 (Revised 2019) Paragraph A114	Paragraph 5.3.14. Risk Identification and Assessment Understanding Relevant Aspects of the Entity <i>Understanding the Entity's System of Internal Control</i>	-	<i>In less complex entities, and in particular owner-manager entities, the auditor's understanding of the entity's process to monitor the system of internal control is often focused on how management or the owner-manager is directly involved in operations, as there may not be any other monitoring activities.</i>	Essential material

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Application Material	ISA 315 (Revised 2019) Paragraph A148	Paragraph 5.3.19. Risk Identification and Assessment Understanding Relevant Aspects of the Entity <i>Understanding the Entity's System of internal Control</i>	-	<i>The auditor's identification and evaluation of controls is focused on information processing controls, which are controls applied during the processing of information in the entity's information system that directly address risks to the integrity of information (i.e., the completeness, accuracy and validity of transactions and other information). Controls are required to be identified when such controls meet one or more of the criteria included in paragraph 5.3.18. However, when multiple controls each achieve the same objective, it is unnecessary to identify each of the controls related to such objective.</i>	Essential material

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Application Material	ISA 315 (Revised 2019) Paragraph A170	Paragraphs 5.3.21. and 5.43.22. Risk Identification and Assessment Understanding Relevant Aspects of the Entity <i>Understanding the Entity's System of internal Control</i>	-	<i>The auditor's understanding of the information system (which may be done by performing a walkthrough test) includes the IT environment relevant to the flows of transactions and processing of information in the entity's information system, because the entity's use of IT applications or other aspects of the IT environment may give rise to risks arising from IT (i.e., the susceptibility of information processing controls to ineffective design or operation, or risks to the integrity of information).</i> ***** <i>Identifying the IT applications that are subject to risks arising from the use of IT involves taking into account controls identified by the auditor because such controls may involve the use of IT or rely on IT. The auditor may focus on whether an IT application includes automated controls that management is relying on and that the auditor has identified, including controls that address risks for which substantive</i>	Essential material

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				<i>procedures alone do not provide sufficient appropriate audit evidence. The auditor may also consider how information is stored and processed in the information system relating to significant classes of transactions, account balances and disclosures and whether management is relying on general IT controls to maintain the integrity of that information. The extent of the auditor's understanding of the IT processes, including the extent to which the entity has general IT controls in place, will vary with the nature and the circumstances of the entity and its IT environment, as well as based on the nature and extent of controls identified by the auditor. The number of IT applications that are subject to risks arising from the use of IT also will vary based on these factors.</i>	
Application Material		Paragraph 5.4.1. Risk Identification and Assessment	-	<i>Risks of material misstatement are identified and assessed by the auditor to determine the nature, timing and extent of further audit procedures necessary to obtain</i>	Essential material

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				<i>sufficient appropriate audit evidence. This evidence enables the auditor to express an opinion on the financial statements at an acceptably low level of audit risk.</i>	
Application Material	-	Paragraph 5.4.3. Risk Identification and Assessment	-	<i>Risks of material misstatement at the financial statement level refer to risks that relate pervasively to the financial statements as a whole, and potentially affect many assertions. Risks of this nature are not necessarily risks identifiable with specific assertions at the class of transactions, account balance or disclosure level (e.g., risk of management override of controls). Appendix X sets out assertions that may be used by the auditor in considering different types of misstatements at the assertion level.</i>	Essential material
Application Material	-	Paragraph 5.4.5. Risk Identification and Assessment	-	<i>The identification of risks of material misstatement is performed before consideration of any related controls (i.e., the inherent risk), and is based on the auditor's preliminary consideration of misstatements that have a reasonable possibility of both</i>	Essential material

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				<i>occurring, and being material if they were to occur.</i>	
Application Material	-	Paragraph 5.4.7. Risk Identification and Assessment	-	<i>A relevant assertion is an assertion about a class of transactions, account balance or disclosure is relevant when it has an identified risk of material misstatement. The determination of whether an assertion is a relevant assertion is made before consideration of any related controls (i.e., the inherent risk). A significant class of transactions, account balance or disclosure is a class of transactions, account balance or disclosure for which there is one or more relevant assertions. In identifying and assessing the risks of material misstatement, the auditor uses assertions to consider the different types of potential misstatements that may occur. Assertions for which the auditor has identified related risks of material misstatement are relevant assertions.</i>	Essential material

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Application Material	-	Paragraph 5.4.8. Risk Identification and Assessment	-	<i>Determining relevant assertions and the significant classes of transactions, account balances and disclosures provides the basis for the scope of the auditor's understanding of the entity's information system required to be obtained, and with the identification and assessment of risks of material misstatement.</i>	Essential material
Application Material	ISA 315 (Revised 2019) Paragraph A208	Paragraph 5.5.2. Risk Identification and Assessment <i>Assessing Inherent Risk</i>		<i>The auditor uses professional judgment in determining the significance of the combination of the likelihood and magnitude of a misstatement on the spectrum of inherent risk. The assessed inherent risk relating to a particular risk of material misstatement at the assertion level represents a judgment within a range, from lower to higher, on the spectrum of inherent risk. The judgment about where in the range inherent risk is assessed may vary based on the nature, size and complexity of the entity, and takes into account the assessed likelihood and</i>	Essential material The essential material added introduces the concept of spectrum of inherent risk and is from para A208 of ISA 315 (Revised 2019)

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				<i>magnitude of the misstatement and inherent risk factors.</i>	
Application Material	ISA 315 (Revised 2019) Paragraph 32	Paragraph 5.5.6. Risk Identification and Assessment <i>Significant Risks</i>	-	<i>The determination of which of the assessed risks of material misstatement are close to the upper end of the spectrum of inherent risk, and are therefore significant risks, is a matter of professional judgment, unless the risk is of a type specified to be treated as a significant risk as set out below. Being close to the upper end of the spectrum of inherent risk will differ from entity to entity, and will not necessarily be the same for an entity period on period. It may depend on the nature and circumstances of the entity for which the risk is being assessed.</i>	Essential material
Application Material	ISA 315 (Revised 2019) Paragraph A222	Paragraph 5.5.4. Risk Identification and Assessment <i>Assessing Inherent Risk</i>	-	<i>Due to the nature of a risk of material misstatement, and the control activities that address that risk, in some circumstances the only way to obtain sufficient appropriate audit evidence is to test the operating effectiveness of controls. Accordingly, there is a requirement for the auditor to</i>	Essential material

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				<i>identify any such risks because of the implications for the design and performance of further audit procedures.</i>	
ISA 320, Materiality in Planning and Performing an Audit					
Objective	ISA 320 Paragraph 8	Paragraph 4.1.1.(b) Planning Objectives	The objective of the auditor is to apply the concept of materiality appropriately in planning and performing the audit.	The objective of the auditor are to: (b) Determine materiality so that the concept of materiality can be used appropriately in planning and performing the audit.	Both standards are aligned.
Requirements	ISA 320 Paragraph 10 Determining Materiality and Performance Materiality When Planning the Audit	Paragraph 4.3.2. Planning Materiality Paragraph 4.3.4. Planning Materiality	When establishing the overall audit strategy, the auditor shall determine materiality for the financial statements as a whole. If, in the specific circumstances of the entity, there is one or more particular classes of transactions, account balances or disclosures for which misstatements of lesser amounts than materiality for the financial statements as a whole could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements, the auditor shall also determine the materiality level or levels to be applied to those	The auditor shall determine materiality for the financial statements as a whole. If, in the specific circumstances of the entity, there is one or more particular classes of transactions, account balances or disclosures for which misstatements of lesser amounts than materiality for the financial statements as a whole could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements, the auditor	Both standards are aligned.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			particular classes of transactions, account balances or disclosures.	shall also determine the materiality level or levels to be applied to those particular classes of transactions, account balances or disclosures.	
Requirements	ISA 320 Paragraph 11 Determining Materiality and Performance Materiality When Planning the Audit	Paragraph 4.3.5. Planning Materiality	The auditor shall determine performance materiality for purposes of assessing the risks of material misstatement and determining the nature, timing and extent of further audit procedures.	The auditor shall determine performance materiality for the purposes of assessing the risks of material misstatement and determining the nature, timing and extent of further audit procedures.	Both standards are aligned.
Requirements	ISA 320 Paragraph 12 Revision as the Audit Progresses	Paragraph 4.3.6. Planning Materiality	The auditor shall revise materiality for the financial statements as a whole (and, if applicable, the materiality level or levels for particular classes of transactions, account balances or disclosures) in the event of becoming aware of information during the audit that would have caused the auditor to have determined a different amount (or amounts) initially.	If the auditor becomes aware of information during the audit that would have caused the auditor to determine a different materiality level or levels for particular classes of transactions, account balances or disclosures, the materiality level shall be revised. If this level is lower than what was initially determined, the auditor shall determine whether it is necessary to revise performance materiality and whether the nature, timing and extent of the further audit procedures remain appropriate.	Addressed, but with alterations. Both standards require a revision of materiality for the financial statement as a whole if the auditor becomes aware of information during that audit that would have caused the auditor to determine a different materiality level, including the revision of materiality level or levels for particular classes of transactions, account balances or disclosures if applicable. There are various wording differences to account for nature of audit of an LCE – would result in same outcome. Last sentence relates to

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
					paragraph 13 of ISA 320 (see below)
Requirements	ISA 320 Paragraph 13 Revision as the Audit Progresses	Paragraph 4.3.6. Planning Materiality	If the auditor concludes that a lower materiality for the financial statements as a whole (and, if applicable, materiality level or levels for particular classes of transactions, account balances or disclosures) than that initially determined is appropriate, the auditor shall determine whether it is necessary to revise performance materiality, and whether the nature, timing and extent of the further audit procedures remain appropriate.	If the auditor becomes aware of information during the audit that would have caused the auditor to determine a different materiality level or levels for particular classes of transactions, account balances or disclosures, the materiality level shall be revised. If this level is lower than what was initially determined, the auditor shall determine whether it is necessary to revise performance materiality and whether the nature, timing and extent of the further audit procedures remain appropriate.	Addressed, but with alterations. Although various wording changes would have same outcome.
Requirements	ISA 320 Paragraph 14 Documentation	Paragraph 4.5.3. Planning Specific Documentation Requirements	The auditor shall include in the audit documentation the following amounts and the factors considered in their determination: (a) Materiality for the financial statements as a whole (see paragraph 10); (b) If applicable, the materiality level or levels for particular classes of transactions, account balances or disclosures (see paragraph 10);	With regard to materiality, the auditor shall include the following amounts and the factors considered in their determination in the audit documentation (including any revisions as applicable): (a) Materiality for the financial statements as a whole; (b) If applicable, the materiality level or levels for particular classes of transactions,	Addressed, but with alterations.

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			(c) Performance materiality (see paragraph 11); and (d) Any revision of (a)–(c) as the audit progressed	account balances or disclosures; and (c) Performance materiality.	
Application Material	ISA 320 Paragraph 5 Introduction Materiality in the Context of an Audit	Paragraph 4.3.1. Planning Materiality	-	<i>The concept of materiality is applied by the auditor in both planning and performing the audit, and in evaluating the effect of identified misstatements on the audit and of uncorrected misstatements if any, on the financial statements and in forming an opinion in the auditor's report.</i>	Essential material
Application Material	ISA 320 Paragraph 5 Introduction Materiality in the Context of an Audit	Paragraph 4.3.3. Planning Materiality	-	The auditor's determination of materiality is a matter of professional judgment, and is affected by the auditor's perception of the financial needs of users of the financial statements. The auditor's professional judgment about misstatements that will be considered material provides a basis for: Determining the nature, timing and extent of procedures to identify and assess risks of material misstatement;	Essential material

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Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				- Identifying and assessing the risks of material misstatement; and - Determining the nature, timing and extent of further audit procedures.	
ISA 500, Audit Evidence					
Objective	ISA 500 Paragraph 4	Paragraph 2.1.1.(a) Audit Evidence Objectives	The objective of the auditor is to design and perform audit procedures in such a way as to enable the auditor to obtain sufficient appropriate audit evidence to be able to draw reasonable conclusions on which to base the auditor's opinion.	The objectives of the auditor are to: (a) Obtain sufficient appropriate audit evidence to be able to draw reasonable conclusions on which to base the auditor's opinion;	Addressed, but with alterations.
Requirements	ISA 500 Paragraph 6 Sufficient Appropriate Audit Evidence	Paragraph 2.2.2. Audit Evidence Audit Evidence	The auditor shall design and perform audit procedures that are appropriate in the circumstances for the purpose of obtaining sufficient appropriate audit evidence.	The auditor shall design and perform audit procedures that are appropriate in the circumstances for the purpose of obtaining sufficient appropriate audit evidence.	Both standards are aligned.
Requirements	ISA 500 Paragraph 7 Information to Be Used as Audit Evidence	Paragraph 2.2.4. Audit Evidence Audit Evidence <i>Information to be Used as Audit Evidence</i>	When designing and performing audit procedures, the auditor shall consider the relevance and reliability of the information to be used as audit evidence, including information obtained from an external information source.	When designing and performing audit procedures, the auditor shall consider the relevance and reliability of the information to be used as audit evidence.	Addressed, but with alterations.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 500 Paragraph 8 Information to Be Used as Audit Evidence	Paragraph 4.2.4. Planning Planning Activities	If information to be used as audit evidence has been prepared using the work of a management's expert, the auditor shall, to the extent necessary, having regard to the significance of that expert's work for the auditor's purposes: (a) Evaluate the competence, capabilities and objectivity of that expert; (b) Obtain an understanding of the work of that expert; and (c) Evaluate the appropriateness of that expert's work as audit evidence for the relevant assertion.	If information to be used as audit evidence has been prepared using the work of management's expert, the auditor shall, to the extent necessary, have regard to the significance of the expert's work and evaluate the competence capabilities and objectivity of that expert, and evaluate the appropriateness of the expert's work as audit evidence for the relevant assertion.	Addressed, but with alterations.
Requirements	ISA 500 Paragraph 9 Information to Be Used as Audit Evidence	Paragraph 2.2.7. Audit Evidence Audit Evidence <i>Information to be Used as Audit Evidence</i>	When using information produced by the entity, the auditor shall evaluate whether the information is sufficiently reliable for the auditor's purposes, including, as necessary in the circumstances: (a) Obtaining audit evidence about the accuracy and completeness of the information; and (b) Evaluating whether the information is sufficiently precise and detailed for the auditor's purposes.	When using information produced by the entity, the auditor shall evaluate: (a) Whether the information is sufficiently reliable for the auditor's purposes; (b) The accuracy and completeness of the information; and (c) Whether the information is sufficiently precise and detailed for the auditor's purposes.	Addressed, but with alterations. Adapted to the circumstances of an LCE but does address all aspects of paragraph 9

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 500 Paragraph 10 Selecting Items for Testing to Obtain Audit Evidence	Paragraph 2.3.2. Audit Evidence Procedures for Obtaining Audit Evidence	When designing tests of controls and tests of details, the auditor shall determine means of selecting items for testing that are effective in meeting the purpose of the audit procedure.	When designing tests of controls and tests of details, the auditor shall determine the means of selecting items to test that are effective in meeting the purpose of the audit procedure.	Both standards are aligned.
Requirements	ISA 500 Paragraph 11 Inconsistency in, or Doubts over Reliability of, Audit Evidence	Paragraph 2.2.9. Audit Evidence Audit Evidence <i>Information to be Used as Audit Evidence</i>	If: (a) audit evidence obtained from one source is inconsistent with that obtained from another; or (b) the auditor has doubts over the reliability of information to be used as audit evidence, the auditor shall determine what modifications or additions to audit procedures are necessary to resolve the matter, and shall consider the effect of the matter, if any, on other aspects of the audit.	The auditor shall determine what modifications or additions to audit procedures are necessary if: (a) Audit evidence obtained from one source is inconsistent with that obtained from another; or (b) The auditor has doubts about the reliability of information to be used as audit evidence.	Addressed, but with alterations. Adapted to the circumstances of an LCE
Application Material	ISA 500 Paragraph A1	Paragraph 2.2.1. Audit Evidence Audit Evidence	-	<i>Audit evidence is necessary to support the auditor's opinion and report. It is cumulative in nature and is obtained from audit procedures performed during the audit.</i>	Essential material

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Application Material	ISA 200 Paragraph A2 (parts)	Paragraph 2.2.3. Audit Evidence Audit Evidence	-	<i>Audit procedures to obtain audit evidence can include inspection, observation, confirmation, recalculation, reperformance and analytical procedures, often in some combination, in addition to inquiry. Inquiry alone does not ordinarily provide sufficient audit evidence.</i>	Essential material
Application Material	ISA 200 Paragraph A26	Paragraph 2.2.5. Audit Evidence Audit Evidence <i>Information to be Used as Audit Evidence</i>	-	<i>Relevance deals with the logical connection with, or bearing upon, the purpose of the audit procedure and, where appropriate, the assertion under consideration. The relevance of the information may be affected by the direction of testing.</i>	Essential material
Application Material	ISA 500 Paragraph A31	Paragraph 2.2.6. Audit Evidence Audit Evidence <i>Information to be Used as Audit Evidence</i>	-	<i>The reliability of information to be used as audit evidence is influenced by its source and nature, as well as the circumstances under which it was obtained. Generally, the reliability of information is increased when it is obtained from a source outside of the entity, original is more reliable than a copy and written is more reliable than oral information. However, circumstances may exist that could affect these generalizations.</i>	Essential material
Application Material	ISA 500 Paragraph A10	Paragraph 2.3.1. Audit Evidence Procedures for Obtaining Audit Evidence	-	<i>Audit evidence to draw reasonable conclusions on which to base the auditor's opinion is obtained by performing procedures to identify and assess risks of material</i>	Essential material

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
				<i>misstatement (see part 5) and further audit procedures (comprising test of controls and substantive procedures) (see Part 6). Tests of controls are only required in specific circumstances (see paragraph XX) or the auditor may choose to perform tests of controls. Substantive procedures include tests of detail and substantive analytical procedures.</i>	
ISA 510, Initial Audit Engagements—Opening Balances					
Objective	ISA 510 Paragraph 3	Paragraph 3.1.1.(b) Acceptance or Continuance of an Audit Engagement and Initial Engagements Objectives	In conducting an initial audit engagement, the objective of the auditor with respect to opening balances is to obtain sufficient appropriate audit evidence about whether: (a) Opening balances contain misstatements that materially affect the current period's financial statements; and (b) Appropriate accounting policies reflected in the opening balances have been consistently applied in the current period's financial statements, or changes thereto are appropriately accounted for and adequately presented and disclosed in	The objectives of the auditor are: (b) For initial engagements, to obtain sufficient appropriate audit evidence about whether: (i) Opening balances contain misstatements that materially affect the current period's financial statements, and (ii) The entity's accounting policies are appropriately reflected in the opening balances.	Addressed, but with alterations Adapted to the circumstances of the [draft] audit standard

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			accordance with the applicable financial reporting framework.		
Requirements	ISA 510 Paragraph 5 Audit Procedures	n/a	The auditor shall read the most recent financial statements, if any, and the predecessor auditor's report thereon, if any, for information relevant to opening balances, including disclosures.	n/a	Not addressed in the [draft] audit standard.
Requirements	ISA 510 Paragraph 6 Audit Procedures	Paragraph 3.4.3. Acceptance or Continuance of an Audit Engagement and Initial Engagements Initial Engagements	The auditor shall obtain sufficient appropriate audit evidence about whether the opening balances contain misstatements that materially affect the current period's financial statements by: (Ref: Para. A1–A2) (a) Determining whether the prior period's closing balances have been correctly brought forward to the current period or, when appropriate, have been restated; (b) Determining whether the opening balances reflect the application of appropriate accounting policies; and (c) Performing one or more of the following: (Ref: Para. A3–A7) (i) Where the prior year financial statements were audited, reviewing the	The auditor shall obtain sufficient appropriate audit evidence about whether the opening balances contain misstatements that may materially affect the current period's financial statements by: (a) Determining whether the prior period's closing balances have been correctly brought forward to the current period or, when appropriate, have been restated; (b) Determining whether the opening balances reflect the application of appropriate accounting policies; and (c) Performing one or more of the following: (i) Where the prior year financial statements were	Both standards are aligned.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			predecessor auditor's working papers to obtain evidence regarding the opening balances; (ii) Evaluating whether audit procedures performed in the current period provide evidence relevant to the opening balances; or (iii) Performing specific audit procedures to obtain evidence regarding the opening balances.	audited, reviewing the predecessor auditor's working papers to obtain evidence regarding the opening balances; (ii) Evaluating whether audit procedures performed in the current period provide evidence relevant to the opening balances; or (iii) Performing specific audit procedures to obtain evidence regarding the opening balances.	
Requirements	ISA 510 Paragraph 7 Audit Procedures	Paragraph 3.4.4. Acceptance or Continuance of an Audit Engagement and Initial Engagements Initial Engagements Paragraph 7.8.1. Concluding Specific Communication Requirements	If the auditor obtains audit evidence that the opening balances contain misstatements that could materially affect the current period's financial statements, the auditor shall perform such additional audit procedures as are appropriate in the circumstances to determine the effect on the current period's financial statements. If the auditor concludes that such misstatements exist in the current period's financial statements, the auditor shall communicate the misstatements with the appropriate level of management and those	If the auditor obtains audit evidence that the opening balances contain misstatements that could materially affect the current period's financial statements, the auditor shall perform such additional audit procedures as are appropriate in the circumstances to determine the effect on the current period's financial statements. The auditor shall communicate with management on a timely basis. Matters to be communicated include: 	Addressed, but with alterations. Adapted to the circumstances of the [draft] audit standard

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			charged with governance in accordance with ISA 450.	(iv) Identified misstatements or potential misstatements.	
Requirements	ISA 510 Paragraph 8 Audit Procedures	Paragraph 3.4.5. Acceptance or Continuance of an Audit Engagement and Initial Engagements Initial Engagements	The auditor shall obtain sufficient appropriate audit evidence about whether the accounting policies reflected in the opening balances have been consistently applied in the current period's financial statements, and whether changes in the accounting policies have been appropriately accounted for and adequately presented and disclosed in accordance with the applicable financial reporting framework.	The auditor shall obtain sufficient appropriate audit evidence about whether the accounting policies reflected in the opening balances have been consistently applied in the current period's financial statements, and that any changes in accounting policies have been appropriately accounted for and adequately disclosed.	Addressed, but with alterations. Adapted to the circumstances of the [draft] audit standard
Requirements	ISA 510 Paragraph 9 Audit Procedures	n/a	If the prior period's financial statements were audited by a predecessor auditor and there was a modification to the opinion, the auditor shall evaluate the effect of the matter giving rise to the modification in assessing the risks of material misstatement in the current period's financial statements in accordance with ISA 315 (Revised).	n/a	Not addressed in the [draft] audit standard.

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 510 Paragraph 10 Audit Conclusions and Reporting		If the auditor is unable to obtain sufficient appropriate audit evidence regarding the opening balances, the auditor shall express a qualified opinion or disclaim an opinion on the financial statements, as appropriate, in accordance with ISA 705 (Revised).		Not addressed in the [draft] audit standard.
Requirements	ISA 510 Paragraph 11 Audit Conclusions and Reporting		If the auditor concludes that the opening balances contain a misstatement that materially affects the current period's financial statements, and the effect of the misstatement is not appropriately accounted for or not adequately presented or disclosed, the auditor shall express a qualified opinion or an adverse opinion, as appropriate, in accordance with ISA 705.		Not addressed in the [draft] audit standard.
Requirements	ISA 510 Paragraph 12 Audit Conclusions and Reporting		If the auditor concludes that: (a) the current period's accounting policies are not consistently applied in relation to opening balances in accordance with the applicable financial reporting framework; or (b) a change in accounting policies is not appropriately accounted for or not adequately presented		Not addressed in the [draft] audit standard.

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	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			or disclosed in accordance with the applicable financial reporting framework, the auditor shall express a qualified opinion or an adverse opinion as appropriate in accordance with ISA 705 (Revised).		
Requirements	ISA 510 Paragraph 13 Audit Conclusions and Reporting		If the predecessor auditor's opinion regarding the prior period's financial statements included a modification to the auditor's opinion that remains relevant and material to the current period's financial statements, the auditor shall modify the auditor's opinion on the current period's financial statements in accordance with ISA 705 (Revised) and ISA 710.		Not addressed in the [draft] audit standard.
Application Material	ISA 300 Paragraph A22	Paragraph 3.4.1. Acceptance or Continuance of an Audit Engagement and Initial Engagements Initial Engagements	-	<i>The purpose and objective of planning the audit are the same whether the audit is an initial or recurring engagement. However, for an initial audit, the auditor may need to expand the planning activities because the auditor does not ordinarily have the previous experience with the entity that is considered when planning recurring engagements.</i>	Essential material

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
ISA 520, Analytical Procedures					
Objective	ISA 520 Paragraph 3	n/a	The objectives of the auditor are: (a) To obtain relevant and reliable audit evidence when using substantive analytical procedures; and (b) To design and perform analytical procedures near the end of the audit that assist the auditor when forming an overall conclusion as to whether the financial statements are consistent with the auditor's understanding of the entity.	n/a	Not addressed in the [draft] audit standard.
Requirements	ISA 520 Paragraph 5 Substantive Analytical Procedures	Paragraph 2.3.3. Audit Evidence Procedures for Obtaining Audit Evidence <i>Substantive Analytical Procedures</i>	When designing and performing substantive analytical procedures, either alone or in combination with tests of details, as substantive procedures in accordance with ISA 330, the auditor shall: (a) Determine the suitability of particular substantive analytical procedures for given assertions, taking account of the assessed risks of material misstatement and tests of details, if any, for these assertions; (b) Evaluate the reliability of data from which the auditor's expectation of recorded amounts or ratios is developed, taking account of source, comparability, and nature and relevance of information	When the auditor uses substantive analytical procedures for the purpose of obtaining audit evidence (either in risk identification or in responding to assessed risks), the auditor shall: (a) Determine the suitability of substantive analytical procedures for the purpose of the test or for the given assertion; (b) Evaluate the reliability of data used in the analyses; (c) Develop an expectation of recorded amounts or ratios and evaluate whether the expectation is sufficiently precise to identify misstatements;	Addressed, but with alterations. Adapted to the circumstances of the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
			available, and controls over preparation; (c) Develop an expectation of recorded amounts or ratios and evaluate whether the expectation is sufficiently precise to identify a misstatement that, individually or when aggregated with other misstatements, may cause the financial statements to be materially misstated; and (d) Determine the amount of any difference of recorded amounts from expected values that is acceptable without further investigation as required by paragraph 7.	(d) Determine the amount of any difference of recorded amounts from expected values that is acceptable without further investigation being required; For identified differences exceeding acceptable levels, use professional judgment when investigating such differences and perform additional audit procedures as necessary in the circumstances; and 	
Requirements	ISA 520 Paragraph 6 Analytical Procedures that Assist When Forming an Overall Conclusion	Paragraph 7.4.1. Concluding Analytical Procedures that Assist When Forming an Overall Conclusion	The auditor shall design and perform analytical procedures near the end of the audit that assist the auditor when forming an overall conclusion as to whether the financial statements are consistent with the auditor's understanding of the entity.	The auditor shall design and perform analytical procedures near the end of the audit that assist the auditor when forming an overall conclusion as to whether the financial statements are consistent with the auditor's understanding of the entity, including any indications of a previously unrecognized risk of material misstatement arising from fraud.	Addressed, but with alterations. Adapted to the circumstances of the [draft] audit standard
Requirements	ISA 520 Paragraph 7 Investigating Results of	n/a	If analytical procedures performed in accordance with this ISA identify fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant	n/a	Not addressed in the [draft] audit standard.

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
	Analytical Procedures		amount, the auditor shall investigate such differences by: (a) Inquiring of management and obtaining appropriate audit evidence relevant to management's responses; and (b) Performing other audit procedures as necessary in the circumstances.		
ISA 530, Audit Sampling					
Objective	ISA 530 Paragraph 4	n/a	The objective of the auditor, when using audit sampling, is to provide a reasonable basis for the auditor to draw conclusions about the population from which the sample is selected.	n/a	Not addressed in the [draft] audit standard.
Requirements	ISA 530 Paragraph 6 Sample Design, Size, and Selection of Items for Testing	Paragraph 2.3.4.(a) Audit Evidence Procedures for Obtaining Audit Evidence <i>Audit Sampling</i>	When designing an audit sample, the auditor shall consider the purpose of the audit procedure and the characteristics of the population from which the sample will be drawn.	If the auditor uses audit sampling when responding to assessed risks of material misstatement as a means for selecting items to test, the auditor shall: (a) Consider the purpose of the audit procedures and the characteristics of the population from which the sample will be drawn;	Addressed, but with alterations. Adapted to the circumstances of the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 530 Paragraph 7 Sample Design, Size, and Selection of Items for Testing	Paragraph 2.3.4.(b) Audit Evidence Procedures for Obtaining Audit Evidence <i>Audit Sampling</i>	The auditor shall determine a sample size sufficient to reduce sampling risk to an acceptably low level.	 (b) Determine the sample size is sufficient to reduce the risk of sampling error to an acceptably low level;	Both standards are aligned.
Requirements	ISA 530 Paragraph 8 Sample Design, Size, and Selection of Items for Testing	Paragraph 2.3.4.(c) Audit Evidence Procedures for Obtaining Audit Evidence <i>Audit Sampling</i>	The auditor shall select items for the sample in such a way that each sampling unit in the population has a chance of selection.	 (c) Select items in a way that each sampling unit in the population has a chance of selection.	Both standards are aligned.
Requirements	ISA 530 Paragraph 9 Performing Audit Procedures	Paragraph 2.3.4.(d) Audit Evidence Procedures for Obtaining Audit Evidence <i>Audit Sampling</i>	The auditor shall perform audit procedures, appropriate to the purpose, on each item selected	 (d) Perform audit procedures, appropriate to the purpose, on each item selected,....	Both standards are aligned.
Requirements	ISA 530 Paragraph 10 Performing Audit Procedures	Paragraph 2.3.4.(d) Audit Evidence Procedures for Obtaining Audit Evidence <i>Audit Sampling</i>	If the audit procedure is not applicable to the selected item, the auditor shall perform the procedure on a replacement item.	 (d) Perform audit procedures, appropriate to the purpose, on each item selected, unless it is not applicable to the selected item. If the auditor is unable to apply the procedure to the selected item, unless it is not applicable that item will be treated as a deviation.	Addressed, but with alterations. Adapted to the circumstances of the [draft] audit standard

Section	Reference & Heading		Text		Comparison
	ISA	Draft Audit Standard	ISA	Draft Audit Standard	
Requirements	ISA 530 Paragraph 11 Performing Audit Procedures	Paragraph 2.3.4.(d) Audit Evidence Procedures for Obtaining Audit Evidence <i>Audit Sampling</i>	If the auditor is unable to apply the designed audit procedures, or suitable alternative procedures, to a selected item, the auditor shall treat that item as a deviation from the prescribed control, in the case of tests of controls, or a misstatement, in the case of tests of details.	 (d) Perform audit procedures, appropriate to the purpose, on each item selected, unless it is not applicable to the selected item. If the auditor is unable to apply the procedure to the selected item, unless it is not applicable that item will be treated as a deviation.	Addressed, but with alterations. Adapted to the circumstances of the [draft] audit standard
Requirements	ISA 530 Paragraph 12 Nature and Cause of Deviations and Misstatements	Paragraph 2.3.4.(e) Audit Evidence Procedures for Obtaining Audit Evidence <i>Audit Sampling</i>	The auditor shall investigate the nature and cause of any deviations or misstatements identified, and evaluate their possible effect on the purpose of the audit procedure and on other areas of the audit.	 (e) Investigate misstatements identified in the sample as to their nature and cause, and consider their effect on the audit procedure and other areas of the audit. For tests of detail, excluding misstatements that do not affect the remaining population, the auditor shall project misstatements found in the sample to the whole population.	Addressed, but with alterations. Adapted to the circumstances of the [draft] audit standard
Requirements	ISA 530 Paragraph 13 Nature and Cause of	n/a	In the extremely rare circumstances when the auditor considers a misstatement or deviation discovered in a sample to be an anomaly, the auditor shall obtain a high degree of certainty that such misstatement or	n/a	Not addressed in the [draft] audit standard.

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	Deviations and Misstatements		deviation is not representative of the population. The auditor shall obtain this degree of certainty by performing additional audit procedures to obtain sufficient appropriate audit evidence that the misstatement or deviation does not affect the remainder of the population.		
Requirements	ISA 530 Paragraph 14 Projecting Misstatements	Paragraph 2.3.4.(e) Audit Evidence Procedures for Obtaining Audit Evidence <i>Audit Sampling</i>	For tests of details, the auditor shall project misstatements found in the sample to the population.	 (e) Investigate misstatements identified in the sample as to their nature and cause, and consider their effect on the audit procedure and other areas of the audit. For tests of detail, excluding misstatements that do not affect the remaining population, the auditor shall project misstatements found in the sample to the whole population.	Addressed, but with alterations.
Requirements	ISA 530 Paragraph 15 Evaluating Results of Audit Sampling	n/a	The auditor shall evaluate: (a) The results of the sample; and (b) Whether the use of audit sampling has provided a reasonable basis for conclusions about the population that has been tested.	n/a	Not addressed in the [draft] audit standard.